



Tort Law (9th edn)

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p. 633 21. Damages for death and personal injuries

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Abstract

This chapter examines various issues in relation to damages in tort, beginning by looking at the principles that lie behind damages awards. The primary object of the law is to compensate those who have been harmed by another's wrongdoing by making an award that seeks to put the claimant into the position that they would have been in had the harm not occurred. The chapter discusses the calculation and forms of damage payments, and special and general damages; independent, joint and several concurrent liabilities; time limitations on claims; the problem with damages; and debunking the compensation culture myth.

Keywords: tort law, liability, compensation, damage payments, claims, limitation period

Problem question

Read this problem question carefully and keep it in mind while you are working through the chapter that follows. At the end of the chapter you will be asked to apply what you have learnt to the problem question and advise the relevant parties.

Emma is a 45-year-old London-based consultant paediatrician. Because of her increasingly high profile and the fact that she is held in high respect by her peers, she has in recent years also fronted a number of popular television series that delve into various aspects of children's medicine. In the last year alone, she was paid over £50,000 for this. She also does a lot of work, including fundraising, for various children's charities: last year she was sponsored to cycle the Great Wall of China and raised over £15,000. She enjoys time with her two teenage children (she is divorced from their father) and in

particular loves weekends away with them sailing or waterskiing, although also enjoys sharing more simple activities with them, such as taking their dog for long walks in the park. She is an avid cook and attends a cookery class every Thursday evening, followed by a meal out with her friends.

Emma is seriously injured in a multiple car accident, for which she was in no way to blame. She is rendered paraplegic, confined to a wheelchair and suffers constant pain. She has to give up her job, but continues to try and do some of the voluntary work for the charities she is involved with. She, along with her two children, has to move out of her three-storey house in north London and into a specially adapted ground-floor flat. Her boyfriend, Clive, who has a career in advertising, agrees to move in with her and be her carer; he gives up his job. She loses interest in sex and is unable to carry on with the majority of her leisure pursuits.

It is established that a combination of two other drivers' negligence caused the accident in which Emma was injured.

Advise Emma.

p. 634 21.1 Introduction

Consider the following examples:

- *A pedestrian is knocked down and killed by a speeding motorist.*
- *An office worker suffers psychiatric injury after being subjected to a campaign of transphobic bullying by her supervisor.*
- *A runner trips over a loose paving slab on her morning run, breaking her ankle.*
- *A school fails to diagnose a student's dyslexia, believing the student's poor performance is simply down to laziness. The student fails their GCSEs.*
- *A house burns down as a result of an explosion at a nearby oil refinery.*
- *A prisoner is kept in their cell for over 24 hours after prison guards walk out on an unofficial strike.*
- *A group of ramblers take a shortcut over a field without the farmer's permission.*
- *A student collapses unconscious after an evening of heavy drinking. His housemates lock him in the bathroom overnight while he sobers up.*
- *A first-time buyer buys a house on the basis of an inaccurate survey. As a result, the property is worth significantly less than they paid for it.*
- *A professional footballer wants to prevent a national newspaper publishing allegations about his private life.*

→ *The lead singer of a Smiths tribute band is branded a ‘meat-eating wannabe who can’t hold a note’ on their former management’s website.*

As we explained in **Chapter 1**, one of tort’s primary functions is to provide compensation for those ‘wronged’ by someone else. Despite most tort textbooks (including this one) focusing more on the principles of *establishing liability*, suing in tort is central to its operation, rather than secondary, as in contract law. This is often expressed by saying that in tort, the wrongs come first, and these define the right; whereas in contract, the rights come first and define the wrong.¹ In all the situations just outlined (many based on cases you may now have come across) a legal wrong may have occurred and, subject to a tort being established according to the substantive rules set out elsewhere in this book, a tortious remedy could be provided.

Damages (monetary compensation) is the primary remedy available in the tort of negligence, but the same is true of, for example, trespass (to land and to the person), defamation and claims against manufacturers for defective products.² Other torts attract damages less often, due to the nature of the harm(s) involved. In privacy claims, for example, claimants seeking to prevent publication of private information will most likely seek injunctive relief. This is because injunctions come *before* a harm and operate to prevent it from materialising. However, if private information has *already* been published, compensation is the appropriate remedy.³ Once harm has occurred, it is hard to imagine how it can be ‘rectified’ other than by the payment of damages.

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This chapter focuses on damages: who gets them, who pays, how they are calculated and how well the system works. The focus will, in the main, be on negligence claims. We will also return to some of the larger themes that permeate previous chapters.

As we have noted, tort texts emphasise the rules and principles governing the imposition of liability more than those governing damages awards. This is because they tend to concentrate on the substance of the law, rather than its underlying procedural aspects. In many cases, liability is not contested or a settlement is reached. Many claims are dismissed before proceeding to trial. Therefore there are considerably more cases in the *background* of tort, in addition to those (disputed) claims we have encountered in earlier chapters, and especially where damages were awarded—we represent here only the ‘tip of the iceberg’. Damages are the bread and butter of the civil lawyer in practice. As Richard Lewis points out:

It is extraordinary how much attention is focused upon issues of liability as opposed to the quantum of damages. Practitioners are bemused by the pre-occupation of academics with the rules on fault: they are aware that liability is infrequently challenged by insurers—being raised as a preliminary issue in only about 20 per cent of their cases—whereas the amount of compensation is almost always open to some negotiation.⁴

Everything that follows should be considered in this context. A very small proportion of tort claims reach the higher courts and the pages of textbooks.⁵

Partly, this relates to (decreased) access to justice and the increasing cost of claims, particularly escalating and disproportionate fees.⁶ Lord Justice Jackson's extensive review of civil litigation costs in 2010 was designed to find ways to reduce the cost of civil litigation (mainly to defendants) while at the same time maintaining access to justice.⁷ Some of his main recommendations included the abolition of recoverable success fees and after the event (ATE) insurance from the losing side in conditional fee arrangements (CFAs—usually 'no win, no fee'), and permitting damages-based arrangements (DBAs—a contingency fee arrangement previously only available in some employment cases).⁸ To assist claimants with the inevitable financial implications of the changes, he proposed a 10 per cent increase in ↵ general non-pecuniary damages to help towards paying the fees for which they would be liable as well as 'qualified one-way cost shifting' (QOCS).⁹ Despite opposition, mainly from claimant groups and ATE insurers,¹⁰ Jackson's proposed reforms were implemented in 2013.¹¹ Many are contained in the Legal Aid, Sentencing and Punishment of Offenders (LASPO) Act 2012 (Part 2), affecting agreements and insurance policies entered into after the relevant sections of the Act came into force on 1 April 2013.¹² LASPO (Part 1) also made serious cuts to Legal Aid for civil (and other) litigants. LASPO, therefore, had serious implications for access to justice: shifting both power and funding to the benefit of insurers and away from claimants. In February 2019, the Ministry of Justice published a (long-awaited) review of the impact of LASPO (Part 2),¹³ which concluded (unsurprisingly) that the reforms had achieved their aims (of reducing costs in personal injury litigation and preventing unmeritorious claims).¹⁴

21.2 What are damages for?

While the primary focus of damages is compensatory, other types of damages exist; though these are very limited in scope. These 'non-compensatory damages' include:

- *exemplary damages*—a higher than usual sum must be paid, in part as a 'punishment' or to set an example to other potential defendants when there has been 'outrageous' conduct;¹⁵
- ↵ *aggravated damages*—a higher sum than is usual is awarded to a particular claimant in recognition of the fact that they have suffered to a greater degree than would be expected, as a result of the defendant's actions;¹⁶
- *contemptuous damages*—a claimant receives a lesser sum than might be usual, in recognition that a technical legal wrong has been committed, but showing the court's displeasure that such a claim was brought;¹⁷ and
- *nominal damages*—a legal wrong has been committed but no actual (recognised) loss has been suffered by the claimant.¹⁸

Many of these link directly back to some of the other functions of tort—deterrence, retribution and so on.¹⁹

Making a defendant pay (compensatory) damages is often about more than simply compensating the claimant for the wrong that was done to them. The fear of having to pay damages may influence behaviour and in this sense may have a deterrent effect.²⁰ For example, once one employer pays compensation for having poor safety conditions in the workplace, it can only be hoped that other (similar) employers will take

note and alter their safety conditions in a manner that both protects their employees from suffering harm and avoids the necessity for them to have to pay compensation in the future. People should learn from their mistakes, and the mistakes of others.

In another sense, compensatory damages can operate as a form of retribution. Successful claimants are more likely to feel vindicated—that the law was on their side—than those who receive nothing. Put another way, when someone is to blame for the harm you suffered, it is quite natural to want to ‘make them pay’. Similarly, compensation payments may be seen as an acknowledgement of the wrong that was done—or even an apology.

Counterpoint

Though tort claims are brought for a variety of (often intertwining) reasons, for most people monetary compensation is probably the ultimate aim. The reasons for this stem from the Industrial Revolution, which inevitably increased the number of serious accidents suffered, particularly in the workplace. Similarly, the introduction of motorised transport clearly increased the number
p. 638 ↪ (and type) of injuries suffered. These things (among others) led, over time, to the gradual emergence of claims for damages for personal injury as the ‘dominant’ tort action.²¹ This has led to a perception of tort as being *purely* a vehicle for accident compensation, when that is not its sole function. Primarily, tort was a system for righting wrongs (corrective justice), coupled with the notion of individual responsibility, in that people (wrongdoers) were held responsible for their harmful actions. If tort is viewed primarily as a mechanism for accident compensation (more akin to distributive justice), then it will inevitably be compared with other accident compensation systems and, when this happens, we see that tort performs incredibly badly. If the aim is to achieve compensation for those who deserve it, then the tort system is surprisingly flawed—largely resulting from the fact that it is based on fault, blame and culpability.

Many questions are raised by having a tort system that is both fault-based and centred on compensation. This becomes particularly apparent when we look at who actually pays most compensation that is awarded (insurers, employers, etc) and how this cost is spread among other (‘innocent’) members of society. Moreover, there may be other, *better* ways of ensuring that those who *need* money (e.g. to pay healthcare costs, or because they are unable to live the way they did before they were harmed) actually receive it and not merely those few who are able to (legally) blame someone for the harms they suffered. One problem with requiring *fault* is that other justifications for compensation are overlooked. Furthermore, in most cases, the *degree* of fault is not considered—a worse act of negligence, for example, does not lead to higher compensation.

The realities of what the tort system is about are often lost when trawling through textbooks, cases, actuarial tables (see **section 21.3.1**) and so on. Cases are brought on the basis of injury, loss and disability, but these aspects are sanitised from the version we, as lawyers, see—we deal in legal principles, costs and awards, rather than stepping back and remembering who it is we are talking about, the injuries they have suffered and the disabilities (physical and societal) that they face.²²

Pause for reflection

Should tort law attempt to do anything *other* than attempt to compensate victims of harm? Is punishment or retribution more suited to the mechanisms of public or criminal law than private law suits brought by individuals? Does making defendants pay damages work as a deterrent from committing further wrongs? Consider the fact that many ‘torts’ committed (especially within negligence) are *accidental*—how can you deter someone from having another accident in the future? Should we punish someone because they did?

From another perspective, even ‘simple’ accidents, such as those caused by a momentary lapse of concentration while driving, may be deterred by making the ‘wrongdoer’ pay compensation—the driver may be more likely to be more careful in future. But is this really what happens? Who actually pays in these situations (see e.g. the comments of Lord Denning in *Nettleship v Weston* [1971])?

p. 639 ↩ Compensatory damages in tort are designed, as far as money can do so, to provide *restitutio in integrum*,²³ defined as:

the sum of money which will put the party who has been injured, or who has suffered, in the same position he would have been in if he had not sustained the wrong for which he is now getting compensation or reparation. (Lord Blackburn, *Livingstone v Raywards Coal Co* [1880] at 39)

Tort damages are meant to return the claimant (as far as money can) to the position they were in before injury occurred. This may include both general and special damages (see **section 21.3.2**) covering pecuniary (financial) and non-pecuniary (emotional, social, amenity and so on) losses.

This principle contrasts with the way damages are awarded for breaches of contract, where the aim is to put the claimant into the position they *expected to be in* if the contract was perfectly executed. While it is usually relatively easy to envision this (e.g. a contract may have been entered into with expected profits already calculated), it is often difficult to imagine what money compensates for in tort. Say, for example, a pedestrian was hit by a negligent driver and rendered permanently paraplegic. How does money compensate for the loss of the ability to walk, run or dance? How can damages put that person back to the position they were in before the tort occurred? If the same claimant also suffered depression as a result of their injuries, how should this be compensated? These are the primary difficulties we face when looking at damages in tort—the calculation is not based on how *deserving* someone is or even according to their *need*, but purely on the economic worth tort law places on harm caused by fault.

Pause for reflection

Now that you have looked in more detail at the law(s) of tort(s), and with an awareness that the financial implications are not comparable:

- (1) Rank, on a scale of 1–10 (10 high), how deserving of compensation are those who suffer the following harms *due to the wrong of another*:
 - (a) A broken leg.
 - (b) A mental breakdown resulting from stress.
 - (c) Trauma after witnessing the death of a child in an accident.
 - (d) The burning down of a home.
 - (e) The loss of life savings.
 - (f) The publication of intimate details in a national newspaper.
 - (g) The birth of a child following a failed sterilisation.
 - (h) Failure to recognise a child's special educational needs.
 - (i) Disturbance by constant noise from a nearby factory.
 - (j) Loss of reputation after false claims are published online.
- (2) How much do you think each claimant should be awarded for the harms listed?

Take time to consider why you ranked the harms the way you did, and why you awarded more money to some claimants than others—what do the monetary sums reflect?

Check our **pointers** <<https://iws.oup.support.com/ebook/access/content/horsey9e-student-resources/horsey9e-chapter-21-pointers-to-pause-for-reflection-and-counterpoint-boxes?options=showName>> on how to answer the questions posed in this 'Pause for reflection'.

↵ An award of damages is subject to all the substantive rules that we have discussed in the earlier sections of this book which *limit liability* and, consequently, the *availability* of compensation. A claimant in negligence, for example, must still overcome the technical hurdles: establishing a duty of care, breach of that duty and harm caused by that breach which is not too remote a consequence—and we should remember that these 'hurdles' are judicially created obstacles placed *in the way of recovery*. Exclusionary rules on duty, for example, are clearly used to *control and limit* liability and keep it within what the courts insubstantially define as 'reasonable bounds'—claimants who are seriously harmed by clearly negligent actions on the part of a public body, for example, will find it hard to establish that a duty was owed to them.²⁴ Similarly, where the harm suffered is 'purely' economic, or psychiatric, or

was caused by an omission or the actions of a third party, a claimant unable to establish that a duty was owed will not recover damages for their injury *no matter how serious it is and however clearly negligent the defendant was*.²⁵ Additional problems, as we have seen, come with establishing breach and causation in fact and law, and even then the defendant may have a defence. Thus, from the outset, it should be clear that not all those who *deserve* compensation can receive it.

Test your understanding by trying this section's self-test questions <<https://iws.oup.support.com/embed/access/content/horsey9e-student-resources/horsey9e-self-test-questions-21-2>>.

21.3 Calculating damages

21.3.1 Forms of damages payments

Damages in tort have traditionally been awarded on a 'one-shot, lump sum' basis. The court assesses, at the date of trial, the amount of compensation required by the claimant to meet their needs, considering investment returns, for the rest of their life. Such an award is final.²⁶ Understandably, despite the attraction of a 'clean break' between claimant and defendant, this method has attracted much criticism, even the judiciary noting that 'there is really only one certainty: the future will prove the award to be either too high or too low' (Lord Scarman, *Lim Poh Choo v Camden & Islington Area Health Authority* [1980] at 183).

As explained earlier, damages in tort represent restoring the claimant, as far as money can, to their pre-tort position. This means that if, for example, someone becomes unable to work as a result of physical injuries caused by someone else's negligence, their compensation will include a sum that reflects *what they would have earned* had they not been injured.²⁷ Similarly, where costs are incurred by the claimant *as a result of the injury*, compensation will include these as, without the tort occurring, that money would not have been spent.

p. 641 Lump sum damages are calculated using 'multiplicands' and 'multipliers'.²⁸ A multiplicand is the sum that must be multiplied (e.g. a sum of £20,000 lost earnings per year) and the multiplier is the number of years this must be multiplied by. Various multipliers may be applied to different multiplicands—for example, a person would only be expected to *work* until retirement, so this will help determine how many years any lost earnings should be multiplied by, but they would be expected to *live* longer than this, so medical costs incurred for the rest of someone's life would have a greater multiplier than their lost earnings. That said, the calculations are not as simple as it might seem—working out the multiplier requires more than simply an assessment of how much longer a person had to work until retirement. There is no longer a default retirement age (previously 65)—when retirement is expected to occur might depend on several different factors. Even if there was a default age, the salary multiplier for a 40-year-old would not be as much as 25 years when there is a lump sum payment. Reduced multipliers are used for two main reasons: first, when lump sum payments are made, the fact that this sum can be invested means that to award the full number of

years could *overcompensate* someone. Secondly, the court considers the ‘vicissitudes of life’—the fact that illness, disease or other circumstances might anyway have prevented that person working until retirement age.

For personal injury, multipliers are calculated by reference to an annual assumed interest rate after tax and inflation, known as the ‘discount rate’.²⁹ An injured person who needs £1 million over 20 years to cover their future expenses would be awarded around £950,000 on a 0.5 per cent discount rate, with the shortfall expected to be covered by investment returns. The figures are not plucked from thin air: the courts look at complicated actuarial tables (compiled by a group including actuaries, lawyers and insurers) known as the ‘Ogden Tables’ to help them.³⁰ The use of these tables in assessing damages claims was formally approved by the House of Lords in *Wells v Wells* [1999]. Different tables exist depending on at what age retirement was expected, when a pension would have started to pay out and a person’s life expectancy. The tables are different for males and females (to take into account differences in expected mortality, among other things).³¹

Another issue arises when the injury suffered causes a reduction in life expectancy. Should damages for loss of earnings be based on the original or new life expectancy? If the former, the claimant will receive compensation for a period in which they are now expected to be dead. However, that period, known as ‘the lost years’, is only lost *because* of the negligence of the defendant. In *Pickett v British Rail Engineering* [1980], the House of Lords determined that damages should be awarded for the lost years, subject to a reduction for ‘savings’ made in relation to cost of living expenses. A different issue arises in respect of child claimants and lost years—are the future earnings of (especially very young) children too speculative to be able to make an award? This has been the position adopted by the court (see *Croke v Wiseman* [1982]), but has received extensive criticism. In *Iqbal v Whipps Cross University Hospital NHS Trust* [2008], Gage LJ did not accept that such claims were completely speculative and viewed the approach as inconsistent with *Pickett*, though the Court of Appeal was bound to follow it. We may soon have an answer to this problem. In *CCC v Sheffield Teaching Hospitals NHS Foundation Trust* [2023], the defendant admitted liability to an 8-year-old claimant who suffered injury due to negligence before and during her birth, resulting in severe cerebral palsy and reduced life expectancy. Ritchie J gave the claimant permission to ‘leapfrog’ an appeal on the lost years part of her claim to the Supreme Court. At the time of writing, the Supreme Court hearing is awaited.

In terms of particular injuries, guidelines issued by the Judicial College detail a range of awards, according to a tariff, that may be attached to various injuries when a judge calculates damages. For example, for the complete loss of sight in one eye, awards are currently in the range of £49,270–54,830. For tetraplegia (also known as quadriplegia) it would be £396,140–493,000. For ‘severe’ post-traumatic stress disorder it is £73,050–122,850, and for some ‘moderate’ knee injuries £18,110–31,960. More ‘prices’ from the judicial guidelines are shown in **Figure 21.1**.³²

21. Damages for death and personal injuries

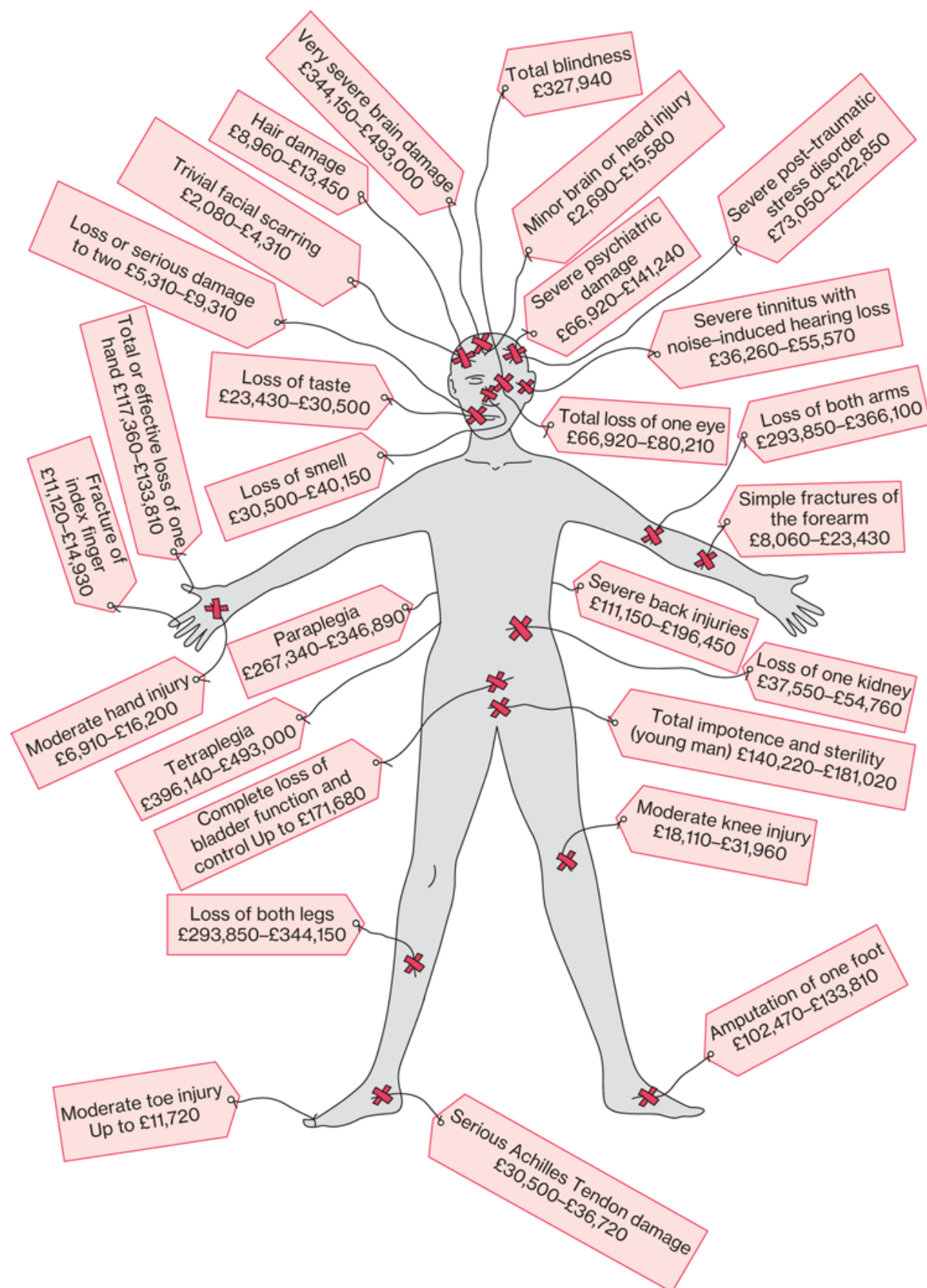


Figure 21.1 Judicial guidelines for damages in personal injury cases

Source: Artwork © David Eaton/Oxford University Press; statistics reproduced with kind permission of Oxford University Press and the Judicial College (*Guidelines for the Assessment of General Damages in Personal Injury Cases* (17th edn 2023)).

Pause for reflection

Do you find the awards that are available for various injuries surprising (remember that these will be injuries caused by someone else's negligence)? Are there any that you think are quite high, in relation to the injury itself, or, conversely, any that do not seem high enough? Who decides these figures and what are they based on? Should we consider injuries and losses in monetary terms?

Since 1982, 'provisional' damages awards have been allowed, for actions where it is 'proved or admitted to be a chance' that the claimant's condition will seriously worsen in the future.³³ Damages awarded initially are based on the claimant *not* suffering this extended harm, with the proviso that they may return to court if they *do* suffer it in the future.³⁴ Use of provisional damages was, however, rare. An alternative was 'structured settlement'—out-of-court agreements under which a portion of the damages award was used to buy the claimant a life assurance policy, payable until death or another (earlier) agreed date. The advantage was that doing so ensured a regular 'income' for the claimant, often on top of an initial (smaller) lump sum. However, structured settlements were based on agreement between the parties and the courts had no power to impose them, however sensible this may have seemed. The take-up rate was not high.

p. 643 ↩ ↩ In 2002, the government consulted on whether to give courts the power to award *compulsory* periodical payments for future losses, concluding that periodical payments 'better reflect the purpose of compensation' and 'place the risks associated with life expectancy and investment on defendants'.³⁵ Periodical Payment Orders (PPOs) were subsequently introduced by the Courts Act 2003.³⁶ Courts are now *required* to consider PPOs in respect of future pecuniary loss derived from personal injury, and may order that damages wholly or partly take the form of periodical payments based on the claimant's annual future needs,³⁷ without the need for Ogden Table multipliers or discounts taking into account future life events.³⁸ Further, courts have the power to vary PPOs where the claimant's condition seriously worsens—or considerably improves—at a later date, but only if it was specified at the time of the original order that it was to be variable.³⁹ PPOs are not without their critics and some commentators have indicated that even where PPOs would be more appropriate lump sums will still be preferred by many claimants.⁴⁰

21.3.2 Special and general damages

Special damages are awarded for losses that are quantifiable at the time of trial, such as loss of earnings or pension *already suffered* by the claimant or money *already spent* on care, medical treatments, special equipment (e.g. a wheelchair), transport and household costs (including adaptations), plus interest accrued on these sums. Essentially, these are pecuniary (financial) losses only.

General damages are those that cannot be quantified at the time of trial and are designed to compensate a claimant for the losses they suffer more generally arising from the harm they have incurred as a result of a tort being committed. These are often more problematic, and include *future* pecuniary losses such as (inter alia) loss of net future earnings (which is likely to be a significant portion of the total award, especially for young adults) and pension, future medical, care and social costs, as well as future expenditure, such as any specialist equipment that might be needed, transport and household costs (including adaptations).⁴¹ Importantly, general damages also include sums for non-pecuniary losses, such as pain, suffering and lost amenity (PSLA) incurred as the result of injury.⁴²

p. 645 It is not necessary for a carer to be a professional. If a partner or close relative, for example, gives up work to care for an injured person, the law provides that they should be paid for doing so. In *Hunt v Severs* [1994], a woman injured in a motorcycle accident required long-term care. The claimant later married the defendant motorcyclist, and he became her carer. The House of Lords held that the claimant could claim the cost of a carer from the defendant and that this part of her damages award would be held in trust for the carer. Because of the specific situation in this case, however, the damages were not paid as their lordships found that public policy did not justify the payment of a damages award by the defendant simply for them to be given back to him. However, it should be noted that it would not have been the *defendant* who paid but his insurers, therefore the decision seems somewhat strange. Following *Hunt*, it would seem that claimants will be left worse off if the person who cares for them is also the defendant. Where this is not the case, a full sum for the cost of (past and future) care can be awarded.⁴³

21.3.3 Death and damages

When a claimant dies, any claim that they might have had against a defendant survives them.⁴⁴ That is, their estate is able to bring the claim and, if damages become payable, they are paid to the estate (thus can be passed on in inheritance, etc).⁴⁵

Death is also dealt with under the Fatal Accidents Act 1976, which establishes a mechanism whereby dependants of the deceased can make a claim for *their* losses (e.g. the loss of the main income into a household) and for bereavement.⁴⁶ Dependants, for the purposes of the Act, include the spouse or civil partner, children (under the age of 18) or parent of the deceased as well as any de facto dependants.⁴⁷ Non-married partners are also included, provided that they had lived with the deceased ‘as husband or wife’ for at least two years prior to their death.⁴⁸ This was different for bereavement claims until 2020, but cohabiting p. 646 partners of the deceased may now also claim bereavement damages.⁴⁹ However, it is only possible for a dependant to claim *if the deceased would have been able to bring a claim had they lived*—that is, a proven tort must have been committed, with no suitable defence, and subject to limitation provisions (see **section 21.5**).⁵⁰ Dependants can claim all financial losses incurred by them due to the death, such as the proportion of the deceased’s earnings that would have been spent on them (ongoing or in the form of savings for the future, and including ‘non-essentials’ such as annual holidays). They can also claim the ‘value’ of the ‘service’ of the deceased—for example, if they were the main childcare provider, the value of the time of childcare could be claimed by the spouse or partner in order that the child was able to attend nursery or similar, meaning that

the surviving spouse would not have to give up work, etc. Such losses are either assessed by the multiplier/multiplicand⁵¹ method as before (clearly involving even more complicated calculations) or by periodical payments.

In *Knauer v Ministry of Justice* [2016], a seven-member panel of the Supreme Court held unanimously that the correct date from which to assess the multiplier when assessing damages for future loss in claims under the Act should be the date of trial and not the date of death. In doing so, it refused to follow two older House of Lords' decisions (*Cookson v Knowles* [1978] and *Graham v Dodds* [1983]) which had held the relevant time to be the date of death. The Law Commission had recommended this be changed,⁵² as in most cases calculating from the date of death leads to under-compensation and therefore is contrary to the *restitutio in integrum* principle. Lord Neuberger and Lady Hale, in a jointly written judgment, explained that '[c]alculating damages for loss of dependency upon the deceased from the date of death, rather than from the date of trial, means that the claimant is suffering a discount for early receipt of the money when in fact that money will not be received until after trial' (at [7]).

When claiming for bereavement itself, the Act provides for damages of £15,120,⁵³ a sum meant in some way to compensate for the 'other' (non-pecuniary) losses associated with a person's death. This sum cannot be claimed by children of the deceased, only by a spouse or partner or, if the deceased was a minor, the parents—there are more limitations here than for dependency claims (and if the sum is awarded to two parents, it is divided between them). Therefore, if a 19-year-old child was killed, no compensation for the parents' bereavement would be available and, in the reverse situation, children who lose a parent may receive compensation for pecuniary dependency losses they suffer, but not for non-pecuniary bereavement and grief. Despite the narrow eligibility for bereavement damages, which many regard as out of date and unfair, the Ministry of Justice has rejected calls to broaden the criteria.⁵⁴

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Pause for reflection

Is the death of a loved one (caused by the 'fault' of someone else) adequately compensated by £15,120? How can such an arbitrary line be drawn? Comparing the guidance figures for claimants who suffer personal injury, evidently it is often much cheaper to kill your victim than it is to 'merely' injure them. Because the effects of many injuries last a lifetime, the compensation which can be awarded for them does too. Doesn't the effect of someone's death last a lifetime? Is this properly taken into account by the Fatal Accidents Act?

Peter Cane and James Goudkamp call bereavement damages 'highly objectionable'.⁵⁵ Their reasons are twofold. First, the 'motives of relatives in seeking such awards may be questionable' and, more importantly, 'it seems arbitrary to select the death of a close relative as the criterion for paying what is still to many people a substantial sum of money ... the relatives of a person who is very severely injured (but not killed) in an accident may well suffer much greater mental suffering than the relatives of someone who is killed'. Secondly, they argue that a statutory award fails to take into account the differences in the actual relationships covered—regardless of the actual closeness of the

parties or, for example, the state of the deceased party's health. Do you agree? Compare the availability of damages for psychiatric harm suffered through witnessing a negligently caused accident and what has to be proved before one can bring a claim as a secondary victim.⁵⁶

Test your understanding by trying this section's self-test questions <https://iws.oup.support.com/embed/access/content/horsey9e-student-resources/horsey9e-self-test-questions-21-3>.

21.4 Independent, joint and several concurrent liabilities

It is, of course, possible that there is more than one wrongdoer in a single tort claim: there may be multiple parties whose actions are partly or wholly the cause of the claimant's harm. When this occurs, the law delineates which party or parties can be sued by an individual claimant, by establishing the categories of independent, joint and several and concurrent defendants (see **Table 21.1**).

21. Damages for death and personal injuries

Table 21.1 Multiple defendants: what type of liability?

Description	Example	Type of liability	Who pays what?
Two or more parties cause different harms to the claimant	A car is hit by one negligent driver, causing property damage, then later by another negligent driver, causing injury to the claimant	Independent	Each co-defendant pays for the actual harm they caused (but only one case needs to be brought by the claimant)
Two parties being sued were acting with the same common goal and caused the same damage	An employee commits a tort in the course of employment, for which the employer would be vicariously liable	Joint	Either party (or both) can be sued for the entirety of the damage
The actions of two or more separate defendants happened independently but contributed to the same harm	A claimant suffers injury after their car is crashed into by two negligently driven cars at the same time	Several concurrent ⁵⁷	Either party (or both) can be sued for the entirety of the damage. Where only one is sued, they can recover an appropriate portion of the damages paid via the Civil Liability (Contribution) Act 1978

Where two or more parties cause different harms to the claimant at different times (although there may be only minutes between them), who pays (and what for) is often a question of causation (i.e. whether the latter defendant broke the chain of causation from the harm caused by the original defendant). When we say that harms are different in this context, we might mean for example that they are different *types* of harm entirely (e.g. personal injury and property damage) or that they are essentially the same *type* of harm but operate at different *levels* (e.g. the difference between a leg injury suffered in a car accident followed by death after being treated at hospital). Each defendant in such circumstances is potentially liable *independently* of the other. In *Rahman v Arearose Ltd* [2000], a man was attacked in his workplace, a fast-food restaurant—his employer was held vicariously liable for the violent attack, which left him needing hospital treatment. In hospital, he received negligent treatment to his right eye, leaving it blinded. He subsequently developed various psychiatric complaints, which his psychiatrist was able to attribute, to various extents, to the initial attack and to his loss of sight.⁵⁸ The Court of Appeal apportioned damages respectively between the employer and the health authority—each defendant was clearly negligent and therefore liable to pay some compensation—the question was what proportion of the total each should pay.

However, there are instances where it can be said either that two (or more) parties being sued were acting with a common goal and caused the same damage, or that the actions of two or more separate defendants happened independently but all contributed to the same harm (a common example is where a claimant suffers injury after their car collides with two negligently driven cars at the same time). In such cases, the law makes it easier for the claimant to receive the total sum of damages that is deemed appropriate for the harm: the claimant may claim against one of the defendants for the whole of the damages.⁵⁹

⌚ In the former example, where two or more defendants act with a commonly held goal, each is held jointly liable.⁶⁰ The claimant can sue either, both or all defendants together for the entirety of the damage (but the whole sum can be recovered only once).⁶¹ This mechanism (and legal fiction) ensures that the claimant can receive the whole sum, without having to locate multiple defendants. It also means, for example in the employer/employee situation, that there is someone joined to the action—and liable—who has sufficient funds to pay (and backed by insurance). The claimant may have other entirely practical reasons for suing one rather than the other, for example if both defendants were companies and one has become bankrupt.

In the second example, the liability would be several and concurrent (see *Fitzgerald v Lane* [1988]; *Vision Golf v Weightmans* [2005]). As with joint liability, the claimant can choose to sue either defendant for the entirety of the damages (although can recover only once). Again, this is a mechanism used to ensure that further barriers are not put in the way of claimants. It is not as unfair as it might seem—whichever defendant pays is then able to seek a contribution to the damages paid out (via the Civil Liability (Contribution) Act 1978). That is, unless, as in the bankruptcy example, the co-defendant is unable to pay. Where the amount is disputed, a separate court action may ensue where the amount to be paid by each will be judicially apportioned. The benefit is that the claimant in the original action is not affected by any arguments between co-defendants, on whom the burden of apportionment of damages (and therefore relative 'blameworthiness') squarely falls.⁶² Apportionment is based on each defendant's proportion of responsibility for the injury that occurred (and of course will be subject to a reduction if the claimant was also in part responsible (contributorily negligent) for their own harm, as in *Fitzgerald v Lane*).

Test your understanding by trying this section's self-test questions <<https://iws.oup.support.com/embed/access/content/horsey9e-student-resources/horsey9e-self-test-questions-21-4>>.

21.5 Time limitations on claims

Section 2 of the Limitation Act 1980 provides that tort actions, including those for trespass to the person, must be brought within six years of the tort being committed (the main exception being for minors, where the time period runs from when they reach the age of 18), otherwise they are 'time-barred'. Sections 11 to 14 make exceptions for actions for 'damages for negligence, nuisance or breach of duty', where the claim is in respect of personal injury. In these cases, the limitation period is *three* years from either the date when the cause of action accrued or the 'date of knowledge',⁶³ whichever is the later.⁶⁴ Importantly, this applies in situations where a negligent act causes what is known as 'latent damage'—damage that only arises

p. 650 (or is recognised) later, not as an immediate consequence of the tort, though still a result of it—here the limitation period runs from the time that damage or harm *begins to be suffered*.

The question whether a claimant could claim in negligence for what were in fact *intentional* acts (which technically involve no 'breach of duty'), where the harm suffered was latent, arose in *Stubblings v Webb* [1993]. Here, a woman claimed damages from her adopted father and step-brother for sexual abuse and rape, which had occurred between 16 and 28 years before, when she was a child. She sought to use the exception created under section 11 of the 1980 Act because although she clearly knew that she had been abused (and had not sued at the time, when she would have had an action in trespass), she did not realise until 1984 that she had suffered psychological injuries as a result of the abuse. Given the timing, her claim was novel, seeking to make use of the extended limitation period for latent damage caused by negligence. Put simply, she claimed that the abuse had been *negligent* because the law would have prevented her claim in trespass, but it did not do so in negligence as the 1980 Act dealt with the possibility that *harm* could be suffered later than when the tort was committed. Her claim was made one month from the end of the extended limitation period under section 11: she had become 'aware' of the psychological harm almost exactly three years previously. Unsurprisingly, the defendants argued that she was time-barred as hers was simply a trespass claim, and thus subject to a six-year limitation period which had long since expired.

The Court of Appeal allowed her claim. However, the House of Lords unanimously overturned the decision, turning to technical interpretation of the statute and the precise meaning of the words 'negligence, nuisance or breach of duty' and what the law lords perceived the intentions of Parliament to be. Lord Griffiths held that he could not construe the words 'breach of duty' as including deliberate acts and also that Parliament could not have intended the phrase to include abuse and rape. In discussing the difference between breach of duty and infringing rights—which is how he saw deliberate acts—he asked '[i]f I invite a lady to my house one would naturally think of a duty to take care that the house is safe but would one really be thinking of a duty not to rape her?' (at 508). Predictably, the case was decided in favour of the defendants. The decision meant that section 11 could not apply to a case of deliberate assault, including sexual assault or abuse, and that

actions for such harms are not actions for ‘negligence, nuisance or breach of duty’. Subsequently, the European Court of Human Rights agreed (in *Stubbings v UK* [1996]). However, this position was remedied by the House of Lords in *A v Hoare* [2008].

***A v Hoare, C v Middlesbrough Council, X v Wandsworth LBC, H v Suffolk County Council, Young v Catholic Care (Diocese of Leeds)* [2008] UKHL 6 (HL)**

Hoare was a conjoined appeal in which several claimants sued a number of different institutional defendants, both private and public bodies (including local councils and a Catholic Church care organisation) and, in one case, a private individual. This was *A v Hoare* itself, where the claimant, who was raped by the defendant, had not sued him earlier (for it is rarely worth claiming compensation from someone without the means to pay), but decided to do so when she later learnt that he had won £7 million on the lottery while in prison.

The claimants—all victims of sexual assaults and/or abuse—framed their claims in negligence to circumvent the limitation period problem. To avoid the *Stubbings* obstacle, the cases against institutions alleged ‘systemic abuse’ so as to show that the *organisation was negligent in allowing the abuse to continue*, rather than that each individual act was negligent in itself. The lower courts in *Hoare* followed *Stubbings*, but the claimants appealed further, submitting that *Stubbings* was wrongly decided and that the House of Lords should overturn it.

Lord Hoffmann, giving the leading judgment, summarised the claimants’ position:

The general rule is that the period of limitation for an action in tort is six years from the date on which the cause of action accrues. This period derives from the Limitation Act 1623 and is now contained in section 2 of the 1980 Act. All the claimants started proceedings well after the six years had expired. It follows that, if section 2 applies, their claims are barred. But sections 11 to 14 contain provisions, first introduced by the Limitation Act 1975, which create a different regime for actions for ‘damages for negligence, nuisance or breach of duty’, where the damages are in respect of personal injuries. In such cases the limitation period is three years from either the date when the cause of action accrued or the ‘date of knowledge’ as defined in section 14, whichever is the later. In addition, section 33 gives the court a discretion to extend the period when it appears that it would be equitable to do so. The chief question in these appeals is whether the claimants come within section 2 or section 11. In the latter case, the claimants say either that the date of knowledge was less than three years before the commencement of proceedings or that the discretion under section 33 should be exercised in their favour. (at [1])

The House of Lords held that *Stubbings* had indeed been wrongly decided and, in respect of *A v Hoare*, allowed the appeal, referring the case back to the High Court for assessment of whether the section 33 discretion could be exercised. In the other cases, the claims were either upheld (with the damages that the lower courts said they would have awarded had they been able to) or referred back to see whether the section 33 discretion should be applied—the implication being that it would (see Lord Hoffmann at [49]), given the nature of the injuries suffered.

Technically, the House of Lords can depart from precedent (i.e. say that a previous case decided by them was wrongly decided) only when the decision in the former case can be thought to be ‘impeding the proper development of the law or to have led to results which were unjust or contrary to public policy’ (Lord Hoffmann at [20]). This was exactly the effect of *Stubbings* and the reason the law lords felt they could overturn that decision. The development of the law relating to vicarious liability⁶⁵ weighed heavily on them, as did decisions in cases that seemed to defy logical principles and which could clearly be described as ‘impeding the proper development of the law’ or having an ‘unjust’ result. As Baroness Hale acknowledged:

the abuse itself is the reason why so many victims do not come forward until years after the event. This presents a challenge to a legal system which resists stale claims. Six years, let alone three, from reaching the age of majority is not long enough ... (at [54])

p. 652 ↵ One such case was *KR v Bryn Alyn Community (Holdings) Ltd* [2003]. Here, the Court of Appeal said that the need to frame a claim in artificial ways (e.g. the ‘systemic abuse’ negligence claims in *Hoare*) when the real cause of complaint was deliberate sexual abuse for which the employer ought to be vicariously liable was causing ‘arid and highly wasteful litigation turning on a distinction of no apparent principle or other merit’ (Auld LJ at [100]). In *S v W (Child abuse: damages)* [1995], a girl sued her parents in respect of sexual abuse conducted by her father: her father in trespass and her mother in negligence, for not preventing the abuse. As her action was brought nearly ten years after the last intentional act, she was time-barred from taking the claim against her father but the claim against her mother fell under section 11 of the 1980 Act and also section 33, where a discretionary extension to the limitation period could be granted. Put simply, the girl could sue her mother but not her father; the person who actually abused her and caused her harm. Sir Ralph Gibson, in the Court of Appeal, viewed the outcome as both ‘illogical and surprising’ and recommended that the Law Commission review the situation. Subsequently, the Law Commission reviewed the law of limitation of actions, presenting its findings to Parliament in 2001.⁶⁶ Its report described the legal effects of *Stubbings* as ‘anomalous’, with particular reference to *S v W* (at [1.5]). Partly on this basis, the Law Commission recommended a uniform regime for personal injuries, whether claims were brought in negligence or trespass (at [1.14]). No action on this had been taken by Parliament prior to *Hoare*.

Counterpoint

The decision in *Stubbings* was quite out of touch with modern thinking about rape and abuse. The problem in such cases is that victims of child abuse often do not acknowledge or understand the harm they have suffered until much later and may not tell anyone or seek advice until later still. So, in terms of bringing claims, those abused as children may be well into adulthood by the time they realise that they have suffered harm. However, the law then stood in their way, as abusive behaviour is not negligent but intentional. Claimants therefore had to distort and bend the law in order to frame their claims in negligence, where they might be able to take advantage of the exception created by sections 11 and 14 of the 1980 Act and the discretion available to judges under section 33. This made some arguments tenuous, as seen with the claims of ‘systemic negligence’ in *Hoare*, and, because it meant people who had suffered serious and deliberately inflicted harms would have no option but to do this to achieve justice, discredited the law in the process. The House of Lords did no more than acknowledge this in *Hoare*, but the decision is significant as it removed the legal barrier faced by future claimants in similar situations; claimants who may already face serious and considerable personal problems in identifying and acknowledging the harm done to them.⁶⁷ In this sense, this is a good example of judges adapting law where Parliament has failed to act on either previous judicial prompting or even advice from the Law Commission.

↪ The situation following *Hoare* has been described as follows:

[A]s their Lordships observed, the situation as it stood was bringing the law into disrepute, both by forcing the distortion of legal arguments and failing to do justice to tort victims. Many difficulties remain for abuse victims seeking civil redress. And there are still issues to be debated about whether litigation is really the best way to address these kinds of social ills. However, at the individual level, the injustice wrought by the harshness of *Stubbings* appears for the time being to have been alleviated.⁶⁸

This appears correct. The decision in *Hoare* opened the door to numerous other similar claims (see e.g. *Pierce v Doncaster MBC* [2007]; *AB v Nugent Care Society*, *GR v Wirral Metropolitan Borough Council* [2009]; *Raggett v Society of Jesus Trust of 1929* [2010]; *Durham County Council v Dunn* [2012]).⁶⁹

The Limitation Act 1980 also provides that actions where contribution is sought between several concurrent defendants must usually be started within two years of the original date of settlement or award. A limitation period of three years exists in relation to the Fatal Accidents Act 1976; the time period runs from the date of death, not the date of the tort, if this came earlier. Claims under the Human Rights Act (HRA) 1998 are the most limited—section 7(5)(a) states that they must be initiated before the end of one year after the act complained of.⁷⁰

Test your understanding by trying this section's self-test questions <<https://iws.oup.support.com/embed/access/content/horsey9e-student-resources/horsey9e-self-test-questions-21-5>>.

21.6 The problem with damages

Tomlinson v Congleton Borough Council [2003] UKHL 47 (HL)

We previously encountered this case in the chapter on occupiers' liability (section 11.4.3). Tomlinson was a teenager who dived badly, against the rules, into the shallow part of a lake, ending up tetraplegic (paralysis of all four limbs). He sued the local council which controlled the lake and its surroundings. Had the case not been appealed to the House of Lords, Tomlinson would have received a large damages award, as the Court of Appeal ruled that his claim should succeed. Because of the ruling of the majority of the House of Lords, however, Tomlinson received *nothing*.

p. 654

↵ Such a case illustrates the dilemma where two demands of 'justice' collide. On one hand, we can argue that Tomlinson should be compensated in order to make his life more bearable (in terms of pain, suffering, ongoing care and so on). On the other hand, the defendant has an equally valid claim that it should not be made to pay for things which were not caused by its own fault, especially when having to pay would put demands on a budget that would mean money could end up being diverted from public services and amenities.

The many reasons for claiming damages in tort can be highlighted here, though two in particular stand out.

- (1) Corrective justice—justice can be seen to be about fairness and correcting the situation (by restoring the claimant to the position they would have been in had the accident not occurred) is one way of doing this. But in cases of death, or where there is injury to such a serious extent as that suffered by Tomlinson, this simply is not possible, although compensation can play a role in holding people accountable for their (negligent) actions.
- (2) Compensation—as we have already indicated, an action in tort is often simply about getting the money required in order to live life to an acceptable standard. Given that Tomlinson could not be cured, what he needed was enough money to live comfortably and not worry about the future. But the question also has to focus on who is being asked to pay, and whether they should—was the council really to *blame* in any way for Tomlinson's injuries? Often, the answer to the 'who pays?' question is that it will be insurance companies who pay (in *Tomlinson*, the council would have had insurance)—in which case, should we be concerned about who was to blame?

Read the Court of Appeal judgment <<http://www.bailii.org/ew/cases/EWCA/Civ/2002/309.html>> and the House of Lords judgment <<http://www.bailii.org/uk/cases/UKHL/2003/47.html>> in *Tomlinson*—note the split between the judges at each level. Which decision do you think was right, and why?

There are many limitations to the system within which damages are awarded in tort. The primary reason for most of these is that *legal* fault (negligence) does not always equate with *moral* blame. If we say that a fault-based system is justified then it often does not seem fair that those who are truly to blame are not the ones who pay—the principles of vicarious liability and the increased prevalence of (particularly compulsory) insurance, shift the focus to ask who *can* pay rather than who *should* pay, as a system truly based on fault (and the idea of corrective justice and individual responsibility) would do.⁷¹ Given that this is the case, we should perhaps ask whether fault and blame are the correct framework around which to base compensation. There are alternatives, one of these being need. To ask who *needs* damages, however, is more closely aligned to asking who *can* pay; both are underpinned by ideas of collective rather than individual responsibility, and focus on the fact that the primary aim of tort is (or has become) compensation. It is only when need is separated from fault that any kind of equitable distribution of compensation can be envisaged—that is, if everyone who needed it (whether there was someone else to blame *or not*) received adequate compensation for the injuries they suffered, we truly would live in a fairer society.⁷² Furthermore, it is not self-evident why judges are the arbiters of who gets compensation, from whom, in what circumstances and how much.

p. 655 ↪ To date, fault-based liability has been heavily undermined by the growth of the insurance industry and the expansion of vicarious liability. If the system was truly fault-based, it would be far easier to see the principles of retribution, deterrence, justice, etc playing a part—but as it is not the wrongdoer (legal or moral) who usually pays, it could be argued that all of these other aspects and functions of tort no longer hold true—compensation alone has become the true focus.⁷³ In part, this must be what led to the claims that we now live in a ‘compensation culture’ (see box at section 1.3.2). We shall look more closely at the idea of compensation culture later in the chapter.

Pause for reflection

Why do you think the emphasis of the tort system changed? Various things are factors in this. On one hand, there was the inevitable increase in accidents attributable to employers and other parties who made suitable targets for tort actions following the Industrial Revolution. Similarly, the rise of the car—and of the tort of negligence itself—helped to contribute to the gradual emergence of damages claims for personal injury caused by negligence as the predominant actions in tort. A growing number of car accidents (and, therefore, injuries) led to the passage of the Road Traffic Act 1930, which introduced compulsory liability insurance for motorists (the first example of this type of insurance in the UK), as well as the establishment of the Motor Insurers’ Bureau in 1936. These were later followed by the Employers’ Liability Act 1969, another compulsory insurance scheme meaning that employers would be *able* to pay, via insurance, when someone was injured in the course of

employment. In addition, the rise of the largely unjustified (except in the sense that someone would be able to pay) spectre of vicarious liability has helped to change the focus from ensuring that the defendant pays to ensuring that the claimant *gets paid*.

Moreover, when looking at whether the loss has actually been shifted from the innocent victim to the wrongdoer, we encounter further issues. We can ask again, with the principle of vicarious liability and the fact that the whole tort system operates under the shadow of the insurance industry, is loss-shifting really what is happening? Given that when, for example, employers, drivers, goods manufacturers or NHS trusts become liable, they are likely to be insured against the loss, the question of who actually bears the cost inevitably arises. If manufacturers have to keep paying out, the price of consumables will rise—*society* pays for the harms incurred by individuals and therefore the risks associated with manufacturing. If employers (or their insurance companies) pay for the torts of their employees, the price of insurance goes up, and society as a whole ends up paying. If a driver's insurance company pays damages following an accident, not only will the individual driver's insurance premiums rise, but so will the premiums paid by other drivers insured by the same company, or at least those within the same insurance bracket (based on age, gender, experience and so on). If an NHS trust pays out, not only could it be said that we are taking money away from an already stretched health service, thereby potentially depriving others of quality care, but taxpayers will ultimately pay. In all these examples (and more), there is no instance of the wrongdoer paying, thus it cannot truly be said that the tort system is a loss-shifting system. If anything, it operates as a system of loss-distribution, with society bearing the costs of all harms and all risk.

p. 656 ↩ While it may be said that suing regulates conduct by the deterrent effect of liability avoidance, the fact that we have deviated from a moral towards a purely legal notion of blame has some potentially undesirable social consequences.⁷⁴ A growth in 'litigation consciousness' perhaps inevitably brings with it increasing numbers of 'frivolous' claims. Society, and the organisations within it (including public bodies, employers, etc), may therefore adopt a safety culture and defensive practices. Similarly, a blame culture may grow, where few accept that there can be 'accidents' and even fewer are prepared to take risks—which may once have been seen as necessary and vital, for example in terms of innovation and improvement.

Responding to the *British Medical Journal*'s 2001 declaration that it was to ban the word 'accident' from its pages, stating that 'most injuries and their precipitating events are predictable and preventable', sociologist Frank Furedi argues that:

cleansing the term accident from our cultural narrative inexorably leads to a relentless search for someone to blame. This is where the legal profession takes over and provides the injured with an obvious target for a compensation claim ... Educating people to discover that what they thought was their fault can actually be blamed on someone else seems to be part of the project of purging the idea of an accident from the English language ... Like the BMJ censors, [claims management companies] believe that behind every injury lurks an act of negligence.⁷⁵

Furedi contends that almost all accidents, with hindsight, can be reinterpreted to show ‘culpable negligence’ was involved. Further, he argues that this results in a restrained society, identified by lowered expectations—he describes this as ‘a society that celebrates victimhood’.⁷⁶ Furedi’s interpretation is hyperbolic—but he is correct in one respect: a move towards compensation rather than fault results in a different type of blame. The courts can also be seen, on occasion, to turn their focus to achieving compensation for claimants, rather than any other principles of justice, sometimes distorting the law to achieve this aim.⁷⁷

Pause for reflection

It is quite likely that the majority of those who suffer injury do want money—this is both necessary and enabling. However, as we discussed in the introduction, claimants seek other things too: an explanation or apology, reassurances that some action will be taken to prevent the same harm happening to someone else in the future and so on.⁷⁸ The tort system seemingly fails to provide these things—do you think its focus should change? Do you think that tort is the appropriate vehicle to address these issues? What is the alternative?

p. 657 That tort should be a vehicle for accident compensation is not a view shared by everyone, and the tort system was not designed to function in this way—distributive justice (for that surely is the end result, even if unintended, of an accident compensation system) simply was not part of the agenda. When compensation is based on fault, many questions are raised about who gets it, and whether they are more deserving than anyone else suffering the same type of harm. A study of the tort system also shows that it is, when compared with other avenues of ‘compensation’ such as social security, actually very generous, in terms of the sums awarded. One of the obvious reasons for this is the difference in the way compensation is paid—usually in a lump sum, rather than on a weekly or monthly basis, and not as dependent on individual financial circumstances (a person injured by the fault of someone else would still be able to claim from them even if they had large sums of money in savings, but many benefits are means-tested).

However, this ‘generosity’ of tort should not be misunderstood; only a select few get compensation at all. In 1972, the Pearson Committee surveyed all accident compensation in England and Wales. Reporting in 1978, it showed that only 6.5 per cent of people injured or killed in accidents actually received damages. When we consider that accident victims (those potentially able to frame their claim in tort) make up only about 10 per cent of those disabled in society, the true figure of those who will receive damages for disabling injuries is closer to 1 per cent. This figure clearly stands in stark contrast to the ‘compensation culture’ claim that too much is being paid out to too many!

Furthermore, our tort system, predicated on the payment of damages based on fault, is expensive to operate and largely inefficient. This is not in itself a criticism of the decisions of any particular case or cases, or of government failure to amend the system in a particular way. It is a case of the figures speaking for themselves. The Pearson Committee calculated that the running costs of the tort system (in the 1970s) amounted to 85 per cent of the sums paid out. Put simply, this means that for every pound paid in compensation, 85 pence was spent to achieve that result. In comparison, the running costs of the New

Zealand system discussed later are estimated at about 7 per cent. To summarise, tort as accident compensation is expensive to run, compared with social security, for example, but relatively high awards of compensation can be achieved. The 6.5 per cent of accident victims who *do* achieve compensation through the tort system are estimated to consume about 40 per cent of the total paid out to all accident victims. Bearing in mind that some victims will get nothing, the tort system appears heavily skewed towards those who can successfully jump through hoops and it seems little wonder that it has been described as a ‘damages lottery’.⁷⁹

Pause for reflection

Consider *Tomlinson* again. Why should his future have depended solely on the fact that (overall) five senior judges voted one way, and four voted the other? Does this point to at least an element of doubt as to the correctness of the final outcome? If he did deserve compensation, what does this say about other incapacitated people who are unable to obtain a remedy? For example, what about people born with spinal defects, who cannot ‘blame’ anyone—are they more, less or equally deserving of compensation than John Tomlinson? Is litigation the appropriate mechanism in this kind of situation or, as a society, ought we to be doing more for *everyone* with disability, no matter how caused?

On the other hand, consider the effect that *Tomlinson* might have had if the House of Lords had *not* reversed the Court of Appeal’s decision. While tort law can be said to be useful in terms of its potential deterrent effects, this is positive only where the activity being deterred is wrongful or does not have social value—the idea is not to deter socially valuable activities. What would have been the practical effect of the Court of Appeal’s decision in *Tomlinson* had it been allowed to stand—that is, what would the council have had to do?⁸⁰

21.6.1 Alternative sources of compensation

A study of tort law, dominated as it tends to be by negligence and considerations of fault and blame, means that the fact that compensation could be achieved in other ways is often under-considered or even overlooked. Particularly where the harm is personal injury or property damage, other types of compensation scheme would perhaps better serve the needs of claimants. Despite the textbook perception, in reality tort plays only a very minor role in compensating those who suffer such harms. The Pearson Committee’s figure showing that only 6.5 per cent of people injured in accidents receive damages indicates that the bulk of ‘compensation’ for physical harms must be derived from other sources—or is simply not present at all (i.e. some people must receive nothing). These other sources might include payments from employers, insurance and other schemes (e.g. the Criminal Injuries Compensation Scheme or Motor Insurers’ Bureau) and social security. What should be noted, however, is that claimants pursuing these alternatives are likely to receive less than they would in a damages award. Because of the *restitutio in integrum* principle, tort damages seek to compensate victims for the whole of the harm they have suffered, including future losses and costs.

p. 659 The Pearson Committee made several other reform proposals, the main one being the retention of a ‘mixed’ system of tort and social security, with greater emphasis on social security and more finesse in how the two systems worked alongside each other. Outside this, a separate scheme for victims of road accidents, however they were caused, was recommended. Even the limited reforms proposed were, however, never adopted—perhaps one reason for this was simply due to bad timing, and the change of government in 1979. Under Mrs Thatcher, it was never likely that we would see an expansion of state-funded or collective schemes and far more likely that emphasis on individuals would be retained. Now, it seems ↵ that the question is not what the tort system could be replaced with (or whether it should be replaced), but what improvements or reforms we can make to the existing system. Some procedural reforms and other changes have already taken place. Whether these changes can be viewed positively is debatable and, indeed, the focus seems to have changed again, including judicially, to looking at how the availability of the tort system can be constricted. Perhaps this is a reaction to the ‘compensation culture’ perception and to increasing numbers of claims against public bodies, especially post-HRA. With such constriction in mind, the question can again be asked whether the tort system is the right place for these issues to be addressed (injuries, disability, the responsibilities of public bodies, etc) and, if not, where they *should* be addressed, and who by?

Counterpoint

Many accident victims who would in theory be able to claim in tort do not do so, meaning that (a) even fewer people receive full compensation than ought to (if that is the principle we adhere to), and (b) more people rely on other systems such as social security, funded by taxpayers, than ought to. While this may not be problematic if one believes that society should shoulder the costs of risk and injury, it is still worth considering why this may be—why do people who may have potentially ‘winnable’ claims in tort *not* claim, given that they will receive full compensation if they win?

One of the problems here is built into the system itself—litigation is not only costly for most people (in that the claimant must be able to fund their action and risks losing two sets of costs if the claim fails)⁸¹ but is also incredibly time-consuming. Some cases take years to come to court. Moreover, because the rules and hurdles of tort have become so well established and familiar, there will be greater pressure from defendants and legal advisors to encourage parties to settle out of court. Why risk losing everything (full compensation) if what you consider to be a fair (or almost fair) proportion of it is guaranteed? Furthermore, despite claims about the existence of a ‘compensation culture’, it remains more difficult than would be expected, not only in monetary terms, for laypeople to access the legal system.⁸²

Access to justice is a topical issue, with further reforms to the system frequently proposed by successive governments.⁸³ As one example, there has been a commitment to ‘tackling’ the number and cost of whiplash claims (the Ministry of Justice consulted between November 2016 and January 2017 on reforms to the procedure for whiplash and low-value injury claims). The Civil Liability Act 2018 was passed into law on 20 December 2018. Section 3 deals with damages for whiplash, stating that ‘[t]he amount of damages for pain,

p. 660 suffering and loss of amenity payable in respect of the whiplash injury or injuries, taken together, is to be an amount specified in regulations made by the Lord Chancellor' (s 3(2)), therefore giving the Lord Chancellor the power to limit damages for whiplash injuries to fixed amounts, though this must be reviewed every three years. Regulations were published in early 2021 ⁸⁴ leading to a radical reduction in the level of damages for whiplash injuries (below what would be awarded in common law) and setting an upper limit of £4,345.⁸⁴ Since then, the question of 'mixed claims'—where part of the claim relates to whiplash and another part to a different injury—has received judicial attention.

***Hassam and another v Rabot and another* [2024] UKSC 11 (SC)**

Two cases brought before the county court were 'leapfrogged' to the Court of Appeal. The issue to be decided was how courts should assess damages for personal injury (pain, suffering and loss of amenity) when the harm is composed of both whiplash (to which the statutory tariff applies) and another injury. A majority found that the Civil Liability Act 2018 (and the 2021 Regulations under it) could not be taken to have reduced common law damages generally. In 'mixed claims', damages should be assessed under the tariff (for whiplash) and under ordinary common law rules (for non-whiplash injuries), added together. Then, an 'overview' should be taken to determine the total award, taking into account that tariff awards are lower than common law damages would be. The defendants appealed and the claimants cross-appealed.

The Supreme Court rejected both appeals, upholding the view of the majority in the Court of Appeal that the statutory framework for whiplash does not affect the assessment of damages awarded for non-whiplash injuries, and the approach suggested in mixed claims (Lord Burrows at [51]–[52]).

21.6.1.1 'No-fault' liability and simple compensation schemes

The principle of 'no-fault' liability is a radical one—support for it is based on the idea that if the aim is primarily to ensure that people harmed receive compensation, the current system is inefficient, expensive, arbitrary and inadequate. Put another way, creating liability without having to first find fault would enable more people to receive compensation for their injuries. Such a system would be more closely aligned with need than blame. Another likely benefit of a no-fault system is that it would be cheaper (and more cost-effective) to run. Such systems are not without precedent. In New Zealand, a no-fault compensation scheme has been in operation since 1974 and tort actions have been significantly reduced. The costs are met by premiums paid by, for example, road users, industry and employers (therefore inevitably passed on in some way to individuals). While it is true to say that the scheme has since become more restrictive (rather than expanded, as may have been hoped) due to rising costs, it remains cheaper than a fault-based system, with the added benefit that more people can more easily access compensation.⁸⁵

Pause for reflection

p. 661

↪ What does the fact that we have chosen fault as the primary consideration in determining who gets compensation say about our societal values?

Over 20 years ago, the government proposed reform of the approach to clinical negligence in the NHS.⁸⁶ One proposal was the creation of a no-fault scheme in relation to certain ('lower value') types of clinical negligence, in response to rising NHS compensation costs. This was rejected, largely due to the expense of implementing such a scheme. A further recommendation was for 'an NHS Redress Scheme [to] be introduced to provide investigations when things go wrong; remedial treatment, rehabilitation and care when needed; explanations and apologies; and financial compensation in certain circumstances'.⁸⁷ The idea was not only to provide compensation more easily to those in need, but also to lessen the NHS's costs when defending claims, as well as to improve morale, restore public confidence and prevent increase in 'defensive practices' and litigation avoidance. The rationale was based on reported figures from the NHS Litigation Authority (now renamed 'NHS Resolution').⁸⁸ These showed that 60–70 per cent of medical negligence claims did not proceed beyond initial contact with a solicitor or disclosure of medical records, 30 per cent of claims formally pursued were abandoned by the claimant and 95 per cent reached out-of-court settlement.

These recommendations resulted in the NHS Redress Act 2006, supposed to provide a simpler route to compensation, without recourse to litigation, for 'lower value' (below £25,000) medical negligence claims. The government claimed that it would 'provide a real alternative to litigation for the less severe cases, removing the lottery and risks of litigation, whilst reducing the general burden of unnecessary legal costs'.⁸⁹ Section 3 provides for full investigation; provision of an explanation to the patient and of the action proposed to prevent future incidents; and development and delivery of a package of care providing remedial treatment, therapy and arrangements for continuing care. Payments for pain and suffering, out-of-pocket expenses and care or treatment which the NHS cannot supply are also provided for. This tallies with responses given to a government-commissioned survey, which asked respondents what they felt the most appropriate response from the NHS would be to negligently inflicted injuries. The responses are summarised in **Table 21.2**.

Table 21.2 Response considered most appropriate for negligently inflicted injuries

Response considered most appropriate to the event ⁹⁰		
Response	Frequency	Per cent
An apology or explanation	134	33.9
An inquiry into the causes	92	23.3
Disciplinary action	23	5.8
Financial compensation	44	11.1

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Response considered most appropriate to the event ⁹⁰		
Response	Frequency	Per cent
Support in coping with the consequences	65	16.5
Don't know	11	2.8
Not stated	0	0
Other	89	22.5
Total	395	100

Source: © Crown Copyright (2006).

p. 662 In a similar vein, following a 2007 public consultation, in March 2010 the Ministry of Justice proposed a 'quick and simple compensation scheme for road traffic accidents', which would 'apply to road traffic accident personal injury claims valued between £1,000 and ↵ £10,000, which in the past have formed the vast majority of claims'.⁹¹ The scheme came into effect for all personal injury claims arising from road traffic accidents from 30 April 2010. In January 2012, it was announced that the threshold of low-value traffic claims would increase to £25,000 and, following further consultation in 2012, the scheme was extended 'horizontally' from the end of July 2013 to include employers' liability and public bodies.⁹²

Given that the NHS Redress Act 2006 is not yet in force in England, questions about how best to compensate victims of medical negligence remain. In 2022, Parliament's Health and Social Care Committee published a report making new recommendations to government in relation to the 'inadequate nature of the clinical negligence system'.⁹³ It proposed radical change:

p. 663 The system for compensating injured patients in England is not fit for purpose. It is grossly expensive, adversarial, and promotes individual blame instead of collective learning. We recommend that when a patient is harmed, they or their family should be able to approach an ↵ independent administrative body which would investigate their case and determine whether the harm was caused by the care they received and if, in the ordinary course of events, it was avoidable. The investigation would be inquisitorial, it would look at the facts of the case, and it would focus on how all parts of the system delivered care to the patient in question. Should it be found that the patient suffered harm because of their care, they would receive compensation.⁹⁴

In its response to the 2022 Inquiry report, the Department of Health and Social Care stated that '[a]dopting these alternative schemes, particularly a no-fault scheme, could potentially lead to an increase in costs for the NHS. We welcome further evidence from stakeholders as part of this inquiry process on these and other compensation approaches used in different countries' (at [30]).⁹⁵ A further government consultation is awaited and the issue remains unresolved.

21.6.1.2 First-party insurance

Given that we all accept risks (e.g. crossing a road), and understand the limitations of compensation through the tort system, first-party insurance might be a better means of ensuring that everyone receives the compensation they need when they are injured. If we insured *ourselves* against damage (some people already do; for example Daniel Craig was reported to have taken out a £5 million insurance policy in case he suffered injury performing his own stunts in the *Bond* films, and others reportedly include David Beckham's legs, insured for £100 million in 2006, Taylor Swift's legs, Mariah Carey's voice, Jennifer Lopez's body and so on) then we would be more or less guaranteed compensation that meets our needs when injury occurs. More importantly, recovery would not be based on the requirement to show fault. Crucially, also, a high degree of personal autonomy, individual responsibility and choice would be recognised, for example in the types or amount of excess chosen (the amount you must pay yourself before the insurer starts paying), upper limits for claims or what types of harm are covered. This would let individuals, to a large extent, set their own premiums and decide what they were willing to pay and what risks they were willing to accept by not paying for them. People would assume responsibility for their own misfortunes before they happened and there would be quick and easy payments when injuries occur, rather than having to sue someone *after* the event (if they can be found).

There are further practical reasons for at least contemplating personal insurance as an alternative to compensation via litigation (not only because you are protected even if no one is at fault). As we have seen in many of the previous chapters, whether the judiciary is explicit about it or not, insurance considerations play a large part in the development of the law and the success or otherwise of many claims (see, as just some of the many examples, Lord Hoffmann in *Transco v Stockport Metropolitan Borough Council* [2003], Lord Denning in *Nettleship v Weston* [1971], etc). How far insurance considerations have so far influenced the law is, however, disputed. Some argue that it should not matter whether parties are insured, as the primary focus should be on the claimant and compensating them if the 'rules' show that we should. Others view insurance as a relevant consideration when deciding liability.

- p. 664 ↵ Patrick Atiyah was a strong advocate for first-party insurance over fault-based compensation. He argued that the decline of the welfare state, coupled with recognition of new types of harm, alongside the inadequacies of the tort system mean that litigation on an individual basis is no longer the answer—if it ever was. He argued that we should recognise that the majority of compensation can already be said, in the long run, to be paid by insurance companies, thus we should move towards first-party insurance. Wedded to this is the fact that insurance (via tort) currently does not cover certain kinds of injury or certain ways in which injuries were caused—a first-party insurance system would rectify this. He proposed such a scheme for road traffic accidents (replacing the current compulsory third-party insurance scheme) advocating its relative simplicity and cost-effectiveness, as well as fairness in terms of who pays in and out. Indeed, he went further, recommending that damages for personal injuries for all other accidents, injuries and disabilities, however caused, should be abolished and first-party insurance left to the free market.⁹⁶

Pause for reflection

Consider *Tomlinson* again. Had he known that he was the kind of person who liked to take risks and had the foresight to insure himself, there would have been no tort action and his insurance company *would have paid out*, probably without argument. Does this show the potential value of first-party insurance?

Counterpoint

The idea of first-party insurance is attractive but suffers from the problem that people are not equal—some could afford more cover than others. Though Atiyah contended that the wealthy would pay more (as their premiums to protect their earnings or any valuable assets would be higher than those of the ordinary person) there is no real solution for those at the opposite end of the scale. While he acknowledged that with *third*-party insurance schemes, higher earners are favoured and the lower paid, retired and unemployed may be discriminated against, he did not acknowledge that the same might be true of *first*-party insurance. Even if it were compulsory, if someone is poor they may be tempted to pay lower/minimum premiums—or none at all. This is all very well when it comes to abstract notions of personal autonomy and individual responsibility: it would be their choice. But it has to be questioned, we think, how autonomous such a choice would be. Someone may insure themselves or their family for less because they cannot afford more, yet be in more ‘risky’ employment. If first-party insurance became compulsory (in a similar way to comprehensive motor insurance) then we agree that this would increase competition on the free market and prices may be kept down—but, as another thing to pay for each month, many people would find themselves substantially worse off. Furthermore, it is undeniable that insurance companies would be the main beneficiaries of such a scheme and ↵ this casts further doubt on its value for the truly poor. Atiyah merely brushed over these issues in his concluding paragraph, saying that:

the answer is that almost everybody will actually save more money by abolishing the present system than they will need to pay for their new first-party insurance. The poorest people, especially, will actually save on their motor insurance policies ... Of course some state social security safety net will still be needed for those not otherwise covered at all.⁹⁷

Interestingly, the Jackson Report recommended increased availability and use of ‘Before the Event’ (BTE) insurance, encouraging people to take out legal expenses insurance, for example as part of household insurance.⁹⁸ This is not the same as insuring oneself *against losses caused by injuries* as first-party insurance would be, but is an example of a way claimants can take responsibility and protect themselves against the *cost of litigation* should this become necessary.

Test your understanding by trying this section's self-test questions <<https://iws.oup.support.com/embed/access/content/horsey9e-student-resources/horsey9e-self-test-questions-21-6>>.

21.7 Debunking the compensation myth

The phrase 'compensation culture' is a pejorative and politically loaded term used to describe a society in which it is acceptable for anyone suffering personal injury to seek damages through litigation, even when injury is minimal or the argument that the defendant was at fault is tenuous.⁹⁹ As Eoin Quill and Raymond Friel contend, 'a central concern of the public and political perception of personal injuries claims ... is the high cost of tort claims to society, reflected in insurance premiums ... often accompanied by an assumption that tort law and practice is flawed and improperly raising such costs and is further accompanied by a depiction of both claimants and their lawyers as motivated more by greed than justice'.¹⁰⁰ The term has been applied to the tort system, particularly since the late 1990s, with the growth in CFAs and the increased pervasiveness of claims management companies.¹⁰¹ In *Tomlinson*, Lord Hobhouse said that the 'pursuit of an unrestrained culture of blame and compensation has many evil consequences' (at [81]). Similarly, governments have fixated on the idea that we live in a 'compensation culture'.¹⁰² Former Prime Minister David Cameron said that:

[a] damaging compensation culture has arisen, as if people can absolve themselves from any personal responsibility for their own actions, with the spectre of lawyers only too willing to pounce with a claim for damages on the slightest pretext.¹⁰³

p. 666 ↩ But is this true? Are too many claims being made (particularly frivolous or fraudulent ones) and, more importantly, if they *are* being brought, are they being won? In other words, are defendants paying out when they should not be?

In May 2004, a report showed that UK expenditure on tort claims was 0.6 per cent of GDP. Comparatively, this was found to be less than in ten other industrialised countries and only Denmark was found to spend less.¹⁰⁴ Similarly, it showed that the overall number of personal injury claims was declining and concluded that the existence of a compensation culture was more self-perpetuating myth than reality.¹⁰⁵ That is, many people believed there was such a culture, and behaviours changed in reaction to this. Similarly, the Association of Personal Injury Lawyers (APIL) claims that:

Many PI lawyers have practiced for several years in a hostile environment where misconceptions have been bred from misinformation ... This has led to deeply entrenched public views that too many claimants are fraudsters and too many PI lawyers are greedy ambulance chasers. A government focus on whiplash has undermined the work of the sector and public support. The 'compensation culture' has never really existed. It is a misconception.¹⁰⁶

We should also ask whether seeking compensation—or encouraging people to do so—should necessarily be viewed negatively. While some may try to ‘play the system’ there are, as should by now be apparent, many hurdles in place before a claimant can succeed. It is possible that increased awareness of rights encourages more claims, and even that this results in more settlements out of court but, largely, any organisation, business, company, public body or other defendant who settles will have been advised to do so by their lawyers, either because it is cheaper both financially and reputationally to do so or, crucially, because already existing precedent suggests that the claimant might in fact win. None of these so-called frivolous claimants are able to evade the law. It should be remembered that, for example, in *Tomlinson*, a case often cited as an example of the ‘have-a-go’ culture and the types of ‘frivolous’ claim that might be made, his injuries were incredibly severe and there was at least the *potential* that the council concerned had not done all it could to prevent such injuries occurring—as the Court of Appeal and a minority in the House of Lords recognised.

The idea that we live in a compensation culture is largely a myth perpetuated by sensationalist media coverage of a small number of cases, which often does not report on the *outcome* of unusual claims being made (which may never reach court, let alone succeed—but *will* sell papers/generate clicks) or give any idea of the context in which the claim arose. The Young Report said that ‘the problem of the compensation culture prevalent in society today is ... one of perception rather than reality’,¹⁰⁷ and went to some effort to explode pervasive myths behind ‘health and safety hysteria in the media’.¹⁰⁸ In 2013, Lord Dyson said ‘there was, and still is ... a perception that there is a compensation culture, and that perception has real, and negative, consequences. That perception is not however as grounded in reality as had been suggested’.¹⁰⁹ Arguably, ‘compensation culture is a myth; but the cost of this belief is very real’.¹¹⁰ Encouragingly, however, media analysis undertaken by APIL found 85 per cent fewer media references to ‘compensation culture’ since 2009.¹¹¹

Watch our video ‘Sorting the facts from the fiction: what does “compensation culture” really mean?’ for our views on the media coverage versus claimant lawyers’ views on compensation issues.

Video playback is not supported in this format.

Video 21: Sorting the facts from the fiction: what does ‘compensation culture’ really mean?

The effects of such myths may be positive (e.g. resulting in easier access to compensation for the majority of those affected by medical negligence) or negative (in the sense of encouraging ‘defensive’ practices or the removal of services in order to avoid being faced with litigation). In 2004, the then government said ‘we need to take action: both to tackle practices that help spread the misperceptions and false expectations; and to improve the effectiveness and efficiency of the system for those who have a genuine claim to compensation’.¹¹² The last government’s view was that the problem can be tackled by reforming access to justice, as indicated by a continuing commitment to Lord Justice Jackson’s recommendations (discussed at **section 21.1**). Under a Labour government, it remains to be seen whether the system will improve and, if so, whether this tackles the perception of the ‘compensation culture’.

In fact, because of changes to the tort litigation system in recent years, and because ATE insurance premiums and solicitors' uplifts on costs in no win, no fee CFAs are no longer recoverable from the losing party, the practical effect is that claimants will receive less damages, as a higher proportion will go to their lawyers. This renders lower value cases commercially unviable—further limiting access to justice.¹¹³

Test your understanding by trying this section's self-test questions <https://iws.oup.support.com/embed/access/content/horsey9e-student-resources/horsey9e-self-test-questions-21-7>.

21.8 Conclusion

In this chapter, we looked at how damages are awarded following tort claims. We considered the principles lying behind damages awards, finding the primary aim to be to compensate those harmed by another's wrongdoing. Damages awards attempt to put the claimant into the position that they would have been in had the harm not occurred. They can encompass pecuniary (financial) and non-pecuniary losses. Future losses are calculated using multiplicands (the sum to be multiplied) and multipliers (the number of years the loss will be incurred). In the main, damages are awarded as a lump sum.

p. 668 Multiple defendants can incur liability independently, jointly or severally. Either a court will apportion damages between them or one defendant can seek contribution from another. There are time limits placed on all damages claims—not uncontroversially. Many further critiques of the way damages can be and are awarded can be made, not least the need to establish fault in order to achieve compensation, and the fact that this means that many people go without. The tort system, viewed in this way, benefits very few people and other ways of achieving fairer compensation for more people have been proposed.

End-of-chapter questions

After reading the chapter carefully, try answering the questions which follow.

- 1 Should the focus of the tort system be based on fault, or on other considerations such as need, equality or deterrence?
- 2 Is it right that society as a whole largely shoulders the burden of higher compensation payouts, through principles of insurance, higher prices for goods and services, and tax?
- 3 Do we (as a society) blame and claim too much?
- 4 Is the tension between achieving justice for claimants and doing justice by defendants simply irreconcilable?
- 5 Should any time limitations be put on tort claims?

If you would like to know what we think, check the **answer guidance** <https://iws.oup.support.com/ebook/access/content/horsey9e-student-resources/horsey9e-chapter-21-answers-to-end-of-chapter-questions?options=showName>.

Answering the problem question

Consider again the problem question at the start of this chapter. Now having read about the topic, **what compensation would Emma receive from the two negligent drivers?**

Here are some pointers to get you started:

- Negligence is not disputed, so you do not need to establish the defendants' liability.
- Damages should be thought of in terms of special and general damages (see **section 21.3.2**). What losses can be quantified by the time of trial? For the physical injuries suffered, **Figure 21.1** may be helpful.
- General damages are more problematic—here they may include future lost earnings (both regular and special earnings from the TV work) and pension (calculated using a multiplier/multiplicand method), future medical treatment and equipment, the cost of care, continued pain, suffering and loss of amenity (her social activities will be relevant here).

If you need some more guidance:

- See the **annotated version of the problem with issues and cases to consider** <https://iws.oup.support.com/embed/access/content/horsey9e-student-resources/horsey9e-chapter-21-annotated-problem-question-interactive>.
- Check your answer against the **suggested outline answer** <https://iws.oup.support.com/embed/access/content/horsey9e-student-resources/horsey9e-chapter-21-answers-to-problem-question>.

p. 669 Further reading

The further reading outlined here is primarily related to critiques of the damages system. Many of the books, articles and other reading below have already been directly cited or mentioned in the text but, for reasons of space and conciseness, we have not been able to treat each of these in full. Therefore, we would recommend at least browsing through all those listed here, to better understand how the law on damages currently operates, as well as the critiques of the system.

Association of Personal Injury Lawyers, 'Our Strategic Plan 2020–23 and Beyond' (2020)

Atiyah, Patrick *The Damages Lottery* (Hart 1997)

21. Damages for death and personal injuries

- Cane Peter and James Goudkamp *Atiyah's Accidents, Compensation and the Law* (9th edn CUP 2018)
- Conaghan, Joanne 'Tort Litigation in the Context of Intra-familial Abuse' (1998) 61 *Modern Law Review* 132
- Donaldson, Liam (Chief Medical Officer) *Making Amends: A Consultation Paper Setting Out Proposals for Reforming the Approach to Clinical Negligence in the NHS* (HMSO 2003)
- Hand, James 'The Compensation Culture: Cliché or Cause for Concern?' (2010) 37 *Journal of Law and Society* 569
- Lewis, Richard, 'The Politics and Economics of Tort Law: Judicially Imposed Periodical Payments of Damages' (2006) 69 *Modern Law Review* 418
- Lewis, Richard, Annette Morris and Ken Oliphant 'Tort Personal Injuries Claims Statistics: Is There a Compensation Culture in the United Kingdom?' (2006) 14 *Torts Law Journal* 158
- Morris, Annette 'Spiralling or Stabilising? The Compensation Culture and our Propensity to Claim Damages for Personal Injury' (2007) 70 *Modern Law Review* 349
- Murphy, John 'The Nature and Domain of Aggravated Damages' [2010] *Cambridge Law Journal* 353
- Oliphant, Ken 'Beyond Misadventure: Compensation for Medical Injuries in New Zealand' (2007) 15 *Medical Law Review* 357
- Quill, Eoin and Raymond J Friel (eds), *Damages and Compensation Culture: Comparative Perspectives* (Hart 2019)
- Steel, Sandy 'Culpability and Compensation' in J Goudkamp, M Lunney and L McDonald (eds) *Taking Law Seriously: Essays in Honour of Peter Cane* (Hart 2022)
- Tilbury, Michael 'Aggravated Damages' (2018) 71 *Current Legal Problems* 215
- Williams, Kevin 'State of Fear: Britain's Compensation Culture Reviewed' (2005) 25 *Legal Studies* 499
- Additional suggestions for further reading can be found in this chapter's **web links** <<https://iws.oup.support.com/ebook/access/content/horsey9e-student-resources/horsey9e-chapter-21-web-links?options=showName>>.

Notes

- ¹ i.e. it is the contract that one enters into that defines one's rights in contract law and a wrong can occur only if those rights are breached. In tort, there must be a wrong (e.g. negligence) for the right to claim damages to accrue.
- ² Other remedies, more appropriate to the particular torts to which they apply, have been discussed in the relevant chapters.
- ³ *Mosley v News Group Newspapers Ltd* [2008], discussed at **section 16.4.1.2**, provides a good example, especially when the follow-up actions taken by Mosley are considered—see *Mosley v Google* [2015].
- ⁴ Richard Lewis 'The Politics and Economics of Tort Law: Judicially Imposed Periodical Payments of Damages' (2006) 69 *Modern Law Review* 418.

- ⁵ In its first year (2009), only four tort claims were dealt with by the Supreme Court, compared with a total number of claims made in the same year (for personal injury) in the county court and Queen's Bench Division (as it then was) of the High Court of over 180,000. In the county court, more than half the claims were for less than £5,000 (Ministry of Justice *Annual Judicial and Court Statistics 2009* (published September 2010)).
- ⁶ In *Motto and others v Trafigura Ltd and another* [2011], the 30,000 claimants received a £30 million settlement but the fees amounted to nearly £105 million (at [26]). The judgment shows that without the success fees and after the event (ATE) premium, the costs would have been only £40 million (at [35]–[36]). See also *MGN Ltd v UK* [2011] where the conditional fee arrangement (CFA) used in **Campbell v MGN [2004]** was found to violate the right to freedom of expression. In **Coventry v Lawrence [2015]**, the Supreme Court rejected the idea by 5:2 that the CFA and uplift which made the defendants liable for 60 per cent of the costs (about £640,000) was a violation of the defendant's Art 6 rights.
- ⁷ Lord Justice Jackson *Review of Civil Litigation Costs: Final Report* (TSO 2010).
- ⁸ The Damages-Based Agreements Regulations 2013 came into force on 1 April 2013. The Regulations preclude partial or 'hybrid' damages-based agreements (DBAs) (under which lawyers can be paid at a reduced rate as the case proceeds—payable win or lose—plus a (lower) contingency fee in the event of success). In other words, lawyers agreeing to act under a DBA must do so as a full 'no win, no fee' agreement (receiving no fee if the client recovers no damages).
- ⁹ Ministry of Justice *Proposals for reform of civil litigation funding and costs in England and Wales* Consultation Paper CP 13/10 (November 2010): 'QOCS would offer costs protection to the vast majority of personal injury claimants, with their only having to pay a winning defendant's costs where it is reasonable to do so based on the claimant's own wealth or their unreasonable behaviour during the case' (at [7]).
- ¹⁰ See Owen Boycott "'No-win, no-fee" brought down News of the World, says hacking victims' lawyer' *The Guardian* 19 July 2011.
- ¹¹ Not without criticism (John Hyde 'Jackson reforms a "serious risk" to justice, says Law Society' *Law Society Gazette* 13 March 2014).
- ¹² In *Simmons v Castle* [2012], the Court of Appeal ruled that general damages in civil cases (including breach of contract) would rise by 10 per cent for all judgments handed down after 1 April 2013 where the case involves either pain, suffering and loss of amenity in respect of personal injury, nuisance, defamation or 'any other tort that causes suffering, inconvenience or distress to individuals'. The court felt compelled to enact this particular aspect of the Jackson reforms ahead of the 1 April 2013 implementation date so parties could plan their litigation strategies accordingly.
- ¹³ Ministry of Justice 'Post-Implementation Review of Part 2 of LASPO' 7 February 2019. A review of LASPO Part 1 (on Legal Aid) was published on the same day, with less acclaim, and some proposals for ways to 'fill the gaps in access to justice' the cuts to Legal Aid created.
- ¹⁴ This conclusion was not accepted uncritically—see John Hyde 'LASPO Part 2: MoJ content that civil reforms have driven down costs' *Law Society Gazette* 7 February 2019.
- ¹⁵ The justifications for exemplary damages were classically stated by Lord Devlin in *Rookes v Barnard* [1964]. They are rare and limited to certain categories of case—for an example in the context of false imprisonment, see *Muuse v Secretary of State for the Home Department* [2010] at [71]–[77], and for an impressive lower court judgment concerning deliberate damage to a prisoner's personal property, see *Thakrar v Secretary of State for Justice* [2015]. Lord Justice

21. Damages for death and personal injuries

Leveson's *Report into the Culture, Practices and Ethics of the Press* (see **section 16.3.1**) suggested that exemplary damages might become more commonplace for media invasions of privacy, and this was introduced by the Crime and Courts Act 2013, s 34. Consideration was given to exemplary damages in the context of a psychiatric harm claim in relation to witnessing the Hyde Park IRA bombing, with the conclusion being that extending the situations in which they might be provided is for 'Parliament or the higher courts, and probably the Supreme Court' (*Young v Downey* [2020] at [38], discussed in **section 5.6.2.1**).

¹⁶ See e.g. *Johnson v Steele and others* [2014]; *Richard v BBC and another* [2018]. Aggravated damages are not thought to be available in negligence claims: *Kralj v McGrath* [1986].

¹⁷ See *Grobbelaar v News Group Newspapers Ltd* [2002]. The claimant may also have costs awarded against them, so although they technically 'win', they may be worse off.

¹⁸ See *Walker v The Commissioner of the Police of the Metropolis* [2014]. For an interesting case, leading to a split nine-member Supreme Court, see ***R (on the application of Lumba) v Secretary of State for the Home Department* [2011]** discussed at **section 15.4.3**. Exemplary damages were refused despite the behaviour of the officials involved. 'Vindictory' damages were preferred by three of the nine Justices hearing the appeal, though the six majority judges ruled that no such head of damages exists.

¹⁹ Of interest here is also the notion of the 'conventional award' (set at £15,000), created in *Rees v Darlington Memorial Hospital NHS Trust* [2003], supposedly for lost autonomy and which is now available in all cases where the birth of a healthy but unwanted child occurs as a result of negligence (see **section 7.5.2**).

²⁰ On this point, consider Joanne Conaghan's contention that allowing liability in negligence cases against the police (and other public authorities) might result in 'change[d] institutional behaviour', Joanne Conaghan, 'Civil liability: addressing failures in the context of rape, domestic and sexual abuse' Inaugural Lecture, University of Bristol, 19 February 2015. The full lecture is available to view at [**www.youtube.com/watch?v=y1bawCpPr30**](http://www.youtube.com/watch?v=y1bawCpPr30) ~~<http://~~
www.youtube.com/watch?v=y1bawCpPr30&app=desktop.

²¹ Remember that negligence—the primary vehicle for personal injury claims—did not really 'emerge' until 1932.

²² See box 'The humanity of tort law' in **section 1.5**.

²³ Literally, from Latin, restoration to the original position.

²⁴ See **Chapter 6**.

²⁵ See **Chapters 4, 5 and 7**.

²⁶ Awards were traditionally based on a high rate of return—4.5 per cent. It has latterly been realised that this is not realistic and changes have been made with the aim of protecting claimants against lower rates. How this has been done, and the effectiveness of such changes, is beyond the scope of this chapter.

²⁷ For an extreme example, consider *Collett v Smith* [2009], where an 18-year-old reserve player for Manchester United was injured by a negligent tackle and was awarded £4,577,323, of which £3,854,328 was for future lost earnings.

²⁸ 'Multiplicands' still have a place in periodic payments (see later in this section)—it is the *method* of paying them that differs.

²⁹ At the time of writing, the applicable discount rate is +0.5 per cent (raised from -0.25 per cent from 11 January 2025) in England and Wales.

³⁰ Currently the 8th edition (2020, updated August 2022). The tables can be viewed on the Government Actuarial Department website at www.gov.uk/government/publications/ogden-tables-actuarial-compensation-tables-for-injury-and-death <<http://www.gov.uk/government/publications/ogden-tables-actuarial-compensation-tables-for-injury-and-death>>. They are updated to take into account factors such as changes in mortality rates, the current financial situation and the effect of various decided cases. In some cases, judges have highlighted the need not to adhere too rigidly to the tables: see e.g. *Kennedy v London Ambulance Service NHS Trust* [2016]. That said, in *Cadet's Car Rentals v Pinder* [2019], the Privy Council clarified how to use the Ogden Tables in calculating future loss of earnings, stating that a two-stage approach must be adopted. First, work out what the pre-accident income would have been going forward and then work out what the residual earning capacity is going forward, deducting this from the first number.

³¹ Note that though the tables are used in most cases, there are some situations which render them inappropriate, e.g. for some freelance/periodic work patterns: see *Blamire v South Cumbria Health Authority* [1993]; *Ward v Allies & Morrison Architects* [2012].

³² Figures come from the Judicial College *Guidelines for the Assessment of General Damages in Personal Injury Cases* (17th edn OUP 2023). The figures here take into account the effect of the Court of Appeal decision in *Simmons v Castle* [2012] (at [20]), introduced by LASPO (see **section 21.1**). Alternative figures without the 10 per cent uplift are also given in the *Guidelines*, for injuries suffered before the uplift came into force in 2013. Additionally, for whiplash injuries resulting from road traffic accidents occurring on or after 31 May 2021, there is now a set of tariff-based general damages awards (implemented by Part 1 of the Civil Liability Act 2018 and the Whiplash Injury Regulations 2021, SI 2021/642).

³³ Administration of Justice Act 1982, s 6, inserting s 32A into the Senior Courts Act 1981.

³⁴ Only *one* return is permitted and only for the injury/disease specified in the original claim.

³⁵ Lord Chancellor's Department *Damages for Future Loss: Giving the Courts the Power to Order Periodical Payments for Future Loss and Care Costs in Personal Injury Cases* (March 2002) [22].

³⁶ Amending s 2 of the Damages Act 1996 (in force April 2005). See also *Flora v Wakom (Heathrow) Ltd* [2007], especially [27]–[29] for an explanation of the approach to be taken.

³⁷ Whether this is what the claimant wishes or not: *Thompsonstone v Tameside & Glossop Acute Services NHS Trust* [2008] (see e.g. Waller LJ at [108]).

³⁸ For a concise explanation of how damages can be calculated in these awards, see Richard Lewis 'The Indexation of Periodical Payments of Damages in Tort: The Future Assured?' (2010) 30 *Legal Studies* 391, especially 395–6.

³⁹ Damages (Variation of Periodical Payments) Order 2005, SI 2005/841.

⁴⁰ See e.g. Lewis **n4** and Lewis **n38** 406–7.

⁴¹ There is no expectation that claimants must seek medical care on the NHS rather than opting for private care: Law Reform (Personal Injuries) Act 1948, s 2(4). A similar principle applies to care/assistance provided by e.g. local authorities—claimants can opt for private care instead: *Peters v East Midlands Strategic Health Authority* [2010].

⁴² Not without controversy, particularly when the claimant's condition is such that they will not know they have lost amenity (*Lim Poh Choo v Camden and Islington Area Health Authority* [1980]).

- ⁴³ The Law Commission recommended in 1999 that this position (in respect of past but not future care costs) be legislatively reversed (Law Com No 262). In May 2007, a government consultation *The Law on Damages* proposed that the law be amended to make the claimant personally obliged to account for the money to the carer and that this should also apply to future care services ‘gratuitously provided’ (at [115]–[116]). A clause was included in the government’s draft Civil Law Reform Bill (2009) to this effect. Following public consultation on the Bill, the government decided not to proceed, as it would ‘not contribute to the delivery of the government’s priorities’ (Ministry of Justice ‘Civil Law Reform Bill: Response to Consultation’ 10 January 2011).
- ⁴⁴ Since the Law Reform (Miscellaneous Provisions) Act 1934 (s 1), with the exception of defamation claims and claims for bereavement under the Fatal Accidents Act 1976.
- ⁴⁵ Further, the Law Reform (Miscellaneous Provisions) Act 1934, s 1(4), provides that if the *defendant* dies and there was a time period before the death in which the claimant would have been able to claim damages (if, e.g. they were injured as a result of negligence then the defendant died before the claim came to court), the claim can be brought against the defendant’s estate.
- ⁴⁶ Sections 1 and 1A respectively. The Act applies in England, Wales and Northern Ireland only. Scotland has less restrictive provisions (Damages (Scotland) Act 2011).
- ⁴⁷ The full list is given in s 1(3).
- ⁴⁸ Section 1(3)(b).
- ⁴⁹ The Fatal Accidents Act 1976 (Remedial) Order 2020, SI 2020/1023 added s 1A(2)(aa) into the legislation. The High Court called for this change in 2016—though finding that cohabitants were unable to claim for bereavement did not directly engage Art 8, it said that there was no legal justification for treating them differently: *Smith v Lancashire Teaching Hospitals NHS Trust and another* [2016]. The Court of Appeal later found that there were violations of both Arts 8 and 14 and therefore that the bereavement award should be given to anyone who has been in a relationship for at least two years at the point of death (*Smith v Lancashire Teaching Hospitals NHS Foundation Trust and others* [2017]).
- ⁵⁰ Section 1(1).
- ⁵¹ Which would be the annual value of the dependency, net of deductions.
- ⁵² *Claims for Wrongful Death* (Law Com No 263, 1999).
- ⁵³ Damages for Bereavement (Variation of Sum) (England and Wales) Order 2020, SI 2020/316. This figure was increased from £12,980 for all deaths before 1 May 2020 (itself an increase from £11,800 in 2013, £10,000 in 2008 and £7,500 in 2002). A different scheme operates in Scotland—one that many think is fairer (see Association of Personal Injury Lawyers ‘Damages for bereavement a “postcode lottery” say lawyers’ 24 September 2013).
- ⁵⁴ See John Hyde ‘No case for extending bereavement damages, says minister’ *Law Society Gazette* 21 April 2023.
- ⁵⁵ Peter Cane and James Goudkamp *Atiyah’s Accidents, Compensation and the Law* (9th edn CUP 2018) 81.
- ⁵⁶ See **section 5.6**.
- ⁵⁷ In both joint and several concurrent liability, where an employer/employee or insurer/insured are held liable, recovery of some of the costs from the actual wrongdoer (e.g. employee) is technically possible through the principle of ‘subrogation’.

- ⁵⁸ Note, however, that the ‘divisibility’ of psychiatric harm has since been doubted in *Dickins v O2 plc* [2008].
- ⁵⁹ And that defendant may later take proceedings against any other defendant who was equally liable, via the Civil Liability (Contribution) Act 1978. Section 2 states that apportionment shall be calculated to a degree that is ‘just and equitable having regard to the extent of that person’s responsibility for the damage in question’.
- ⁶⁰ Joint liability also applies to employers and employees, where the employee commits the tort and the employer becomes liable for it via the principle of vicarious liability, and also in various other contexts such as principals and agents, employers and independent contractors, where a non-delegable duty of care exists, etc—see **sections 13.2 and 20.2**.
- ⁶¹ See e.g. *Fairchild v Glenhaven Funeral Services* [2002], discussed at **section 9.2.2.2**.
- ⁶² Though cf *Barker v Corus UK Ltd* [2006], also discussed at **section 9.2.2.2**.
- ⁶³ Defined in s 14. This includes constructive knowledge: *Collins v Secretary of State for Business, Innovation and Skills and another* [2014]. A good recent illustration of the question about when the cause of action accrues can be seen in *Balls v Reeve and another* [2021] in relation to a claim for asbestosis, resulting from exposure between 1953 and 1983.
- ⁶⁴ Three years is also the period within which claims in defamation or under Part 1 of the Consumer Protection Act 1987 must be brought.
- ⁶⁵ Where it is recognised that organisations or institutions may be vicariously liable for acts of sexual abuse committed by an employee during the course of their employment (or akin to employment) (see e.g. *JGE v The Portsmouth Roman Catholic Diocesan Trust* [2012], *Various Claimants v Catholic Child Welfare Society and others* [2012] (*Christian Brothers*) and other cases discussed in **section 20.2** and *Lister v Hesley Hall Ltd* [2002] and *Trustees of the Barry Congregation of Jehovah’s Witnesses v BXB* [2023] (discussed at **section 20.3**).
- ⁶⁶ *Limitation of Actions* (Law Com No 270, 2001).
- ⁶⁷ A recent example is seen in *BRS v Gadd* [2024] in relation to a woman in her 60s successfully claiming in respect of abuse she suffered from Paul Gadd, better known as rockstar ‘Gary Glitter’, in the 1970s.
- ⁶⁸ Peter Cane and Joanne Conaghan *The New Oxford Companion to Law* (OUP 2008) 7. See also Nicola Godden ‘Sexual Abuse and Claims in Tort: Limitation Periods after *A v Hoare (and other appeals)* [2008] and *AB and others v Nugent Care Society; GR v Wirral MBC* [2009]’ (2010) 18 *Feminist Legal Studies* 179.
- ⁶⁹ Though not all claims have been successful, e.g. *TCD v Harrow and others* [2008], *obiter* comments in *EL v The Children’s Society* [2012] and *Archbishop Bowen and another v JL* [2017]. In different contexts, see *Whiston v London Strategic Health Authority (successor body in law for the Queen Charlotte’s Maternity Hospital)* [2010] (an adult claiming in respect of brain injuries suffered at birth); cf *Ministry of Defence v AB and others* [2012] (injuries arising from nuclear testing in the 1950s).
- ⁷⁰ Though this can be extended if the court thinks it ‘equitable having regard to all the circumstances’ (s 7(5)(b)). See *A v Essex County Council* [2010] for an example where the Supreme Court declined to extend the limitation period in an action against an education authority as it would not be ‘equitable’ to do so.
- ⁷¹ See Patrick Atiyah ‘Personal Injuries in the 21st Century: Thinking the Unthinkable’ in Peter Birks (ed) *Wrongs and Remedies in the 21st Century* (OUP 1996).
- ⁷² See e.g. the Government Workers’ Compensation Scheme, introduced in the late nineteenth century—a no-fault scheme; everyone injured was entitled to compensation.

⁷³ See Lord Sumption ‘Abolishing Personal Injuries Law—A project’ Personal Injuries Bar Association Annual Lecture, London, 16 November 2017, discussed in **section 1.3.2**.

⁷⁴ See Frank Furedi and Jennie Bristow *The Social Cost of Litigation* (Centre for Policy Studies September 2012).

⁷⁵ Frank Furedi *The Culture of Fear* (2nd edn Continuum Press 2002) 11.

⁷⁶ *ibid* 13.

⁷⁷ An example of this is ***Nettleship v Weston*** (discussed at **section 8.3**) where it can clearly be argued that the young and, crucially, inexperienced driver was not at (moral) fault, yet the court held her to the standard of a competent driver so that she necessarily fell below the standard required (i.e. she would be in breach) and the instructor could therefore be compensated through her insurance for her ‘negligence’. Unusually, this is openly acknowledged in the judgment itself—perhaps due only to the typical candidness of Lord Denning.

⁷⁸ Note that the Compensation Act 2006, passed following an inquiry of the Constitutional Affairs Select Committee into ‘compensation culture’ and contingency fees, contains a provision to the effect that in claims for negligence or breach of statutory duty, an apology, offer of treatment or other redress shall not of itself amount to an admission of liability (s 2).

⁷⁹ Patrick Atiyah, *The Damages Lottery* (Hart 1997).

⁸⁰ See also *Simonds v Isle of Wight Council* [2003]. Note, however, that s 1 of the Compensation Act 2006 requires courts considering the *standard* of care in a claim for negligence or breach of statutory duty to take into account whether requiring particular steps to be taken to meet the standard would prevent or impede a ‘desirable activity’ from taking place. This provision was designed to improve awareness of this aspect of the law and to help to ensure that ‘normal’ activities are not prevented because of a fear of litigation and excessively risk-averse behaviour and essentially enshrines the House of Lords’ position in ***Tomlinson*** into statute. According to the Explanatory Notes to the Act, the provision was also designed to address the misperception that there is a compensation culture following the 2004 report of the Better Regulation Task Force.

⁸¹ Subject to the increased prevalence of DBAs and ATE insurance schemes.

⁸² Note that claims management companies are now statutorily regulated under the Compensation Act 2006, Part II.

⁸³ A very good synopsis of some of these reforms—and their effects—can be found in Eduardo Reyes ‘Insult to Injury’ *Law Society Gazette* 17 February 2023.

⁸⁴ Whiplash Injury Regulations 2021, SI 2021/642.

⁸⁵ See Nicholas Mullany, who says the New Zealand system is ‘not as expansive as many have assumed’ (‘Accidents and Actions for Damages to the Mind—Kiwi Style’ (1999) 115 *Law Quarterly Review* 596).

⁸⁶ Liam Donaldson (Chief Medical Officer) *Making Amends: A Consultation Paper Setting Out Proposals for Reforming the Approach to Clinical Negligence in the NHS* (HMSO 2003) 14–15.

⁸⁷ *ibid* 1.

⁸⁸ *NHS Redress Act 2006 Regulatory Impact Assessment*, 3.

⁸⁹ *ibid* 5.

⁹⁰ **Section 1.2.1.**

- ⁹¹ The Young Report (Lord Young *Common Sense, Common Safety* (Cabinet Office 2010)) said this was a ‘model of how an effective system should work’ and recommended extension of a similar system to low-value clinical negligence claims. It also said that raising the threshold of low-value car accident claims to £25,000 should be considered, as should the introduction of a ‘good Samaritan clause’.
- ⁹² Ministry of Justice ‘Extension of the Road Traffic Accident scheme to include employers’ and public liability claims up to the value of £25,000’ (2012), <https://consult.justice.gov.uk/digital-communications/extension-rta-scheme> <<https://consult.justice.gov.uk/digital-communications/extension-rta-scheme>>; Ministry of Justice, ‘Extension of the Road Traffic Accident Personal Injury Scheme: proposals on fixed recoverable costs’ (2013), <https://consult.justice.gov.uk/digital-communications/extension-rta-scheme/results/rta-costs-response.pdf> <<https://consult.justice.gov.uk/digital-communications/extension-rta-scheme/results/rta-costs-response.pdf>>.
- ⁹³ Health and Social Care Committee *NHS Litigation Reform*, Thirteenth Report of Session 2021–22 (HC 740, 28 April 2022) para. 23.
- ⁹⁴ *ibid* para. 84.
- ⁹⁵ Supplementary written evidence submitted by the Department of Health and Social Care (NLR 0072) at <https://committees.parliament.uk/writtenevidence/42609/html/> <<https://committees.parliament.uk/writtenevidence/42609/html/>>.
- ⁹⁶ Now see Cane and Goudkamp **n55** 280–4.
- ⁹⁷ Atiyah **n79** 193.
- ⁹⁸ Lord Justice Jackson *Review of Civil Litigation Costs: Final Report* (TSO 2010) ch 8.
- ⁹⁹ See box at **section 1.3.2**.
- ¹⁰⁰ Eoin Quill and Raymond J Friel (eds) *Damages and Compensation Culture: Comparative Perspectives* (Hart 2019) 3.
- ¹⁰¹ Atiyah said ‘complaints are often heard that we are “going down the American road” without, very often, explaining what the American road is, or what is wrong with it’ (**n79** 2).
- ¹⁰² See e.g. the Young Report **n91**, described as a ‘Whitehall-wide review of the operation of health and safety laws and the growth of the compensation culture’ (in particular at 19). See also our discussion in **section 13.2.2**, particularly of the Enterprise and Regulatory Reform Act 2013.
- ¹⁰³ Young Report **n91** ‘Foreword by the Prime Minister’, p 5.
- ¹⁰⁴ Better Regulation Task Force *Better Routes to Redress* (2004) 15. The figure for the United States was 1.9 per cent.
- ¹⁰⁵ *ibid* 11. See also APIL and TUC’s joint report ‘The Compensation Myth: Seven myths about the “compensation culture”’ (March 2014) which includes more up-to-date figures on many relevant points.
- ¹⁰⁶ Association of Personal Injury Lawyers (APIL) ‘Our Strategic Plan 2020–23 and Beyond’, 5.
- ¹⁰⁷ Young Report **n91** 19—seemingly contradicting the then Prime Minister’s statement in the foreword.
- ¹⁰⁸ See Annex D, pp 49–50.
- ¹⁰⁹ Lord Dyson MR ‘Compensation Culture: Fact or Fantasy?’ Holdsworth Club Lecture, 15 March 2013, at 10. Also see Richard Lewis ‘Compensation Culture Reviewed: Incentives to Claim and Damages Levels’ [2014] *Journal of Personal Injury Law* 209 and the *government* statistics provided by the Department for Work and Pensions’ Compensation

21. Damages for death and personal injuries

Recovery Unit (updated 8 May 2024) on the number/type of claims per year, at www.gov.uk/government/publications/compensation-recovery-unit-performance-data/compensation-recovery-unit-performance-data <<http://www.gov.uk/government/publications/compensation-recovery-unit-performance-data/compensation-recovery-unit-performance-data>>.

^{110.} *Better Routes to Redress* n104 3.

^{111.} APIL n105 8.

^{112.} Tackling the “Compensation Culture”: Government Response to the Better Regulation Task Force Report: “Better Routes to Redress” (10 November 2004) 2–3.

^{113.} Thankfully, empirical work which will hopefully help us begin to understand how the ‘real world’ of tort law has been affected by the recent reforms has begun and the new litigation and negotiation ‘tactics’ being used (see Richard Lewis ‘Tort Tactics: An Empirical Study of Personal Injury Litigation Strategies’ (2017) 37 *Legal Studies* 162).

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